CRISIL Ltd. (CRISIL)

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Dear
Sirs,
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b.: Analyst Call Transcript
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ursuant to Regulation 30 read with Part A of Schedule III and Regulation 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosing herewith transcripts of the Analyst Call held on Friday , April 19, 202 4. The transcripts are also available on Company's website at https://www.crisil.com/en/home/investors/analyst-hub.html .
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indly take this communication on record.
Y
ours faithfully,
For CRISIL Limited
M
inal Bhosale
Company Secretary
ACS 12999

“CRISIL Limited

Analyst Conference Call”
April 19, 2024

Management: Mr. Amish Mehta
Managing Director and Chief Executive Officer – CRISIL Limited
Mr. Sanjay Chakravarti
President and Chief Financial Officer – CRISIL Limited

Mr. Gurpreet Chhatwal
Managing Director – CRISIL Ratings Limited
Mr. Ashish Vora
President and Business Head – CRISIL Market Intelligence a nd Analytics
Mr. Duncan Mccredie
President and Head – CRISIL Global Benchmarking Analytics
Mr. Jan Larsen
President and Head – CRISIL Global Research a nd Risk Solutions
Mr. Subodh Rai
President, Risk a nd Compliance – CRISIL Limited

Moderator: Good afternoon, everyone, and a warm welcome to CRISIL's Analyst Call 2024. As a reminder, all participant lines will be in the listen- only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone.
Please note that this conference is being recorded. Before we start, as a standard disclaimer from CRISIL, we would like to state that certain forward- looking statements during our interaction today are based on the current understanding of the company profile and market conditions. These are subject to change based on changing policies of company and macro environment.
The company does not undertake to update the forward-looking statements or other information contained in the presentation, whether as a result of new information, future events, or otherwise. As a policy company refrains from giving specific and quantitative guidance on its future performance. Further, in the interest of fair disclosures to investors, operational details relating to specific business segments, customer contracts will not be possible to be disclosed.
I would now like to introduce you to the speakers of the call today. Amish Mehta, Managing Director and CEO, CRISIL Ltd. Sanjay Chakravarti, President and CFO, CRISIL Ltd. Gurpreet Chhatwal, Managing Director, CRISIL Ratings Ltd. Ashish Vora, President an d Business Head, CRISIL Market Intelligence and Analytics. Duncan McCredie, President and Head, CRISIL Global Benchmarking Analytics.
Jan Larsen, President and Head, CRISIL Global Research and Risk Solutions. Subodh Rai, President, Risk and Compliance.
Let me now hand over the call to Mr. Amish Mehta
to commence the proceedings. Over to you, sir.
Amish Mehta: Thank you. Good evening, everyone, and a very warm welcome to each one of you. Trust you are all doing well. I am pleased to share that during 2023 and in the first quarter of 2024, we demonstrated resilience and created significant impact through our work and sustainability efforts for our stakeholders in line with our strategy a

nd the
mission, in line with our strategy of making markets function better. The trinity of integrity, insight and impact give us a winning edge in the market. We oper ate in 12 countries and CRISIL's family is now a 4,600 strong plus employee base.
We recently set up a delivery center in Bogota, Colombia for our North American clients, which has augmented our global delivery model. People are our biggest and most important IP, and we take pride in our people-first culture, where diversity, equity and inclusion form the bedrock as underscored by our global workforce, comprising 39% women and 40 nationalities. We continue to invest in talent to make us future ready and encourage our colleagues to think entrepreneurial.

 Our focused efforts have led us to multiple recognitions in various forums. CRISIL has been certified as a great place to work for the fourth year in a row and named among the 100 best companies for women in India. We are recognized as a bronze category employer by the India Workplace Equality Index.
In a testimony to our innovation, we were named in the top 50 of the Chartis' RiskTech100® for 2024 and won in the model validation category for the second consecutive year.
Let me now share our perspective on the macro economy. The global economy remained resilient in calendar year 2023, and only a mild moderation is expected in 2024, according to the latest outlook by S&P Global in March.
A soft landing is the base case for the global economy in calendar year 2024, with 3.2% GDP growth compared with 3.4% in calendar year 2023. Geopolitics, including a spate of elections in 64 countries, pose downside risks to the outlook. Given this contex t, we believe that following will be the key trends in 2024.
We see the global banks turning cautious with delayed discretionary spending while they continue to focus on operational efficiencies, regulatory compliance, and business transformation. Increased volatility due to macro uncertainties translates to a greater need for enhanced value and actionable insights from our benchmarking solutions. We see continued traction in the private capital market.
We are seeing active dialogue around the possibility of leveraging Gen AI across industries, and we continue to explore ways in which we can enhance our client offerings and internal workflows through the use of Gen AI.

Coming to the domestic environment, the momentum in India's GDP growth continues
to be good, underscoring the country's growth potential. India's growth has been
investment -driven, largely with private consumption trailing overall GDP.
Healthy private consumption is vital for balanced and sustainable growth will remain
monitor able. CRISIL expects India's GDP to grow at 6.8%, making it once again the
fastest -growing large economy in fiscal 2025. Corporate bond issuances grew 9% on
year in the quarter, ended 31st March 2024, versus 28% for full year 2023.
Bank credit growth was 16.5% driven by demand from retail and services sectors, large
corporate credit growth was tepid at 6.6%. Overall, the medium -term growth prospects
for India are expected to be healthy, thanks to strengthened corporate balance sheet s,
a robust banking system, government's capex focus, and broad basing of private investments.
Our businesses displayed strong growth in 2023, and momentum continued in the first
quarter amid market uncertainties. Thanks to our differentiated positioning, global talent
pool, and our portfolio of IP -led services, we continued to add new clients across our
businesses and recorded increase in our already strong net promoter score from last

 year. CRISIL ratings consolidated its market leadership position with healthy revenue
growth during the quarter, given the investor preference for best -in-class ratings. Our
Global Analytical Center continues to strengthen its support to S&P Global in newer
areas.
The re

search, analytics, and solutions segments saw traction in credit, risk, data and analytics, and consulting offerings for MIA. Our global businesses saw the impact of
slowdown in discretionary spending by global financial institutions. The GRRS business
witnessed momentum in lending solutions and regulatory support, and the business
added new logos during the quarter.
The GBA continued – the benchmarking business continued to strengthen client
engagement through new benchmarking solutions. We remain committed to delivering value to all our stakeholders for investments in digital technology, digital capabilities,
talent , and new solutions. And our franchise activities continued well during the quarter.
We hosted the flagship India Outlook Seminar 2024 and released the India Outlook Report. Our businesses released thought -leading insights and reports and hosted
webinars on pertinent topics across sectors. Our CRISIL Foundation celebrated 10
years in 2023, and our Global Analytical Center celebrated 20 years of partnership with
S&P Global Ratings.
Our foundation continues to drive impactful work and meaningful, positive social and
environmental change through many engagements and initiatives, especially towards
women empowerment and environment conservation. Our colleagues will share a lot
more det ail around the individual businesses, and I'm handing over to Sanjay to walk
you through the financial performance in detail. We'll be happy to take questions once
we share our story.
Over to you, Sanjay.
Sanjay Chakravarti : Thank you, Amish. I'm on slide 12, where we have the financial performance of 2023
and first quarter of 2024. Let me start with the financial results of 2023.
Revenue growth for 2023 has been robust at 13.4%, with both our business segments
registering growth, double-digit growth, in fact, and all our businesses in both the
segments registering growth in the year 2023. With expenses growing at a lesser pace, roughly around 10% for the year, 2023 saw PBT growing by almost 17% and PAT
growing at more or less the same rate at 16.7%. When we come to the first quarter of
2024, the quarter did see revenue growth momentum continuing in the rating segment.
However, it w as offset by slower performance in one of our global businesses in the
research analytics and solutions segment.
The quarter grew by 3.2% in spite of coming off a strong base of Q1 2023, when
revenue had actually grown by 20.2% last year in the first quarter of 202 3. While PBT
was flattish for the quarter as compared to last year, when we look at PAT, PAT has de-grown by 5.5%, and that is essentially because of increase in the tax rates after the

 1st quarter last year in one of the ex -India jurisdictions. That is a summary of the
financials of 2023 and the first quarter of 2024.
Even as we go into the Q&A at a later point of time during this call, questions from all
of you will be more than welcome. I now hand over to Gurpreet for the ratings section.
Gurpreet Chhatwal : Thank you, Sanjay. I will take you through the segmental performance for ratings for Q1 2024 as well as CY 2023. On this slide, I think we are seeing the two main drivers
of the revenue pools for the rating agencies in India.
I think the first is the corporate bond market and the other is the bank credit crop. Let
me talk about them. So, we are witnessing a growth of about 9% or we witnessed about 9% in the first quarter of 2024. This

was on a high base of last year. Last year, we did
see a very strong growth in the corporate bond market in H1 2023, followed by a marginal decline in the second half of 2023 as the interest rates increased in the second half.
The issuers and the capital market investors are awaiting a decisive turnaround in the interest rate outlook for the market to pick up in the coming year. Bank credit, on the other hand, clocked robust, about 6.3% growth by the end of Q1 2024, supp

orted by
growth in credit towards retail and service sectors. However, the growth in credit towards large corporates remained lacklustre with about 6.6% Y -o-Y growth by the end of the first quarter of 2024. The segments of bank credit that are of relevance to us grew well in last year as well as the first quarter are the services space, which is basically NBFC growth infrastructure and mid-corporates.
The CRISIL Ratings estimates that the growth rate for bank credit and NBFC sector took about 14% and 15% -17% respectively in the financial year 2025. So we anticipate that the capital market issuances are likely to remain sluggish in the near -term due to the prevailing high interest rate conditions. We anticipate the capital market issuances will revive in the second half of the calendar 2024 with softening interest rates and gradual revival of private sector capex.
So let's move to the next slide. We are on slide 15 now. On this slide, you see a segmental performance for 2023 as well as Q1 2024 for the rating segment. The domestic ratings revenue benefited from a strong bond market in H1 2023 as we talked about and c ontinued growth in the mid-corporates in the year 2023. We saw good bank limit growth in our mid-market customers last year. In the first quarter 2024, we've seen roughly about 12% growth, which is largely coming from surveillance fee as well as new rating revenues from mid -corporates.
We continued our focus on client engagement initiatives and strengthened our leadership leading position and the share of voice in the Indian media amongst the domestic rating agencies with our part leadership publications and webinars. Global analytical c enters saw robust surveillance work delegation from S&P global rating

 services. Overall, the rating segment grew by about 8.4% on here in the quarter. Thank you. Over to you, Ashish.
Ashish Vora : Thanks, Gurpreet. Good evening, everyone. I'm Ashish Vora and I lead the Market Intelligence and Analytics business at CRISIL. Between me and my colleagues, Duncan and Jan, we will walk you through the segment performance for R esearch , Analytics and Solutions.
I am now on slide 17 of the presentation. As stated by Amish, we believe the India growth story remains positive. I will now talk about some of the underlying factors that
are drivers for the Market Intelligence and Analytics business, such as loan growth, financialization of savings and capital formation.
The asset quality of banks continues to improve due to lower slippages, lower write-offs backed by comfortable capitalization and improved efficiencies in recovery process. For instance, as you can see on the slide, the GNPAs have come down sharply from about 5.9% in 2022 to about 2.9% in 2024 or in the current fiscal. Healthy bank balance sheets and low credit losses have enabled banks to plan strategies to gain or protect market share, lend more to infrastructure, to the SME segment, to farmers and for household asset creation.
We at CRISIL are working very closely with banks across the entire loan life cycle, right from opportunity identification to origination, credit assessment and risk monitoring. Our
research insights and data directly feed into the bank's internal workflow systems and the up skilling solutions provided by CRISIL 1Academy are training vertical, help ramp up core teams and improve efficiency and efficacy.
Banks are also looking at digitization and automation as the way to drive growth and operational efficiency, leading to demand for CRISIL's integrated credit platform that connects data, creates data marts and automates the entire credit life cycle. Similarly, financialization of savings and steady increase in assets under management have been accompanied by a higher demand for innovative products from the investor community. This combination has led to demand for index -linked products, need for research insights that help d

eliver alpha and for reaching customers through a digital interface. This has sparked demand for our services around indices, valuations, benchmarking,
risk management offered to be delivered via a digital platform.
I will move on to slide 18 now and we will really talk here about the healthier corporate balance sheets and the higher capacity utilization that we are seeing in the corporate sector, which is conducive for incremental capex. Capital formation is another proximate

growth driver. We expect capital investments to fire on both cylinders over the next few years as both infrastructure and industrial investments are set to increase.
In the past four years, capex in the country was primarily driven by infrastructure expenditure, supported by the central and the state governments. Currently, we are seeing industrial sectors pick up pace with investments flowing towards both

 conventional and the emerging sectors. In parallel, infrastructure capex is maintaining its growth momentum.
On the infrastructure side, we continue to build on our strong franchise, working with all the key stakeholders, the implementing or the nodal agencies, the infrastructure companies and the tenderers, as well as the investors. Within the industrial capex, healthy corporate balance sheets and decadal high utilization rates across most sectors are driving capital investments in traditional sectors.
For example, the net EBITDA, for instance, the net debt to EBITDA was at 1.9x at the end of fiscal 23, down sharply from about 2.8x about three years back. And as you can see on the capacity utilization slide, capacity utilizations are trending upwards of 70 - odd percent down. On the other hand, policy interventions such as the PLI scheme are helping bring in large scale investments in emerging sectors, such as electronics and semiconductors, solar PV modules and EVs.
We expect about INR1.82 lakh crores of PLI incentives to be paid across 14 sectors to generate revenues of close to INR30 lakh crores and capital spending of INR3.2 lakh crores for these particular initiatives. Emerging sectors are expected to account for about a fifth of the total industrial investments over the next four years. We are building data and analytics capabilities in these new sectors to be able to help both corporates as well as financial institutions make the right investment decisions in these growth areas. In fact, the theme of our flagship event, the India Outlook that Amish referred to at the beginning of the call that happened in March this year was the emerging sectors, the three E's, electronics, EVs and energy transition.
The insights from the event covering India's current presence in the value chain, investment opportunities, global comparison and policy interventions were all well appreciated by the Senior Leaders across the industry.
I will now hand over to Duncan to share the updates on the GBA business.
Duncan McCredie: Thank you, Ashish. Hello, my name is Duncan McCredie. I joined the company in July last year and I lead the G lobal Benchmarking and Analytics business. So firstly, I want to thank you all for your time and to highlight what a pleasure it is to join CRISIL at this very exciting time for the company. To help contextualize the operating environment for our international businesses with slide 19 of the analyst presentation for background, I want to highlight that the revenue pools for global banks' CIB divisions has largely stagnated over the past year after a decline from 2021 to 2022. We do, however, anticipate a modest recovery in this area into 2024, but the regulatory environment and broader inflationary trends have put pressure on banks' profitability in 2022 and 2023.
This has in turn increased the bank's focus on controlling discretionary spending. With that background, now referring to slide 20 of the analyst presentation, we have still managed to generate strong progress

on the two key pillars of our strategy in the G lobal Benchmarking and Analytics division. We've increased our penetration with the global

 index banks through 2023, both in the existing offerings and the deployment of new initiatives.
For example, Q2, one of our flagship new benchmarking offerings created from the combination of Coalition and Greenwich products, has gained material traction through 2023, facilitated by the ongoing digitization of our end-to -end processes. We've also seen success in ex panding our offerings into Tier 2 and commercial banks globally, which presents a material growth opportunity over time. These pillars have together allowed us to deliver double-digit revenue growth in 2023.
These trends have continued into the first quarter of 2024 with strong momentum across both global index banks and regional players. Our digital transformation is now having a tangible impact on our ability to deliver our analytics through digital channels to our clients and increasing the pace of development of our new offerings. Overall, we've seen a strong performance in 2023, laying a foundation for continued growth.
I will now hand over to Jan Larsen, who will take you through the highlights of the GRRS business. Over to you, Jan.
Jan Larsen : Thanks, Duncan. Good afternoon. I am Jan Larsen. I head the Global Risk and Research Solutions business at CRISIL, which we often refer to as GRRS. I am on slide 20 of the presentation. The global macroeconomic solution situation remained complex in 2023.

World growth was higher than expected, and inflation, despite peaking, was above
target for many central banks. The operating environment was characterized by the
failure of a few regional banks in the US and the consolidation of a large European
bank. The GRRS business witnessed robust performance in 2023 despite these
headwinds.
The risk and analytics business saw increased client engagement in areas such as
regulatory compliance and reporting, targeted review of internal models, stress testing
initiatives, and lending solutions, leading to wins with existing and new clients. Traditional sell -side research faced cost
-cutting pressures amid headwinds driven by
factors such as a challenging deal environment, regional banking crises, inflationary pressures, recessionary concerns, and ongoing budget pressure. But on the buy side,
stron g traction was seen in research and operations, accompanied by a resurgence in
demand from traditional asset managers across asset classes.
There was sustained demand for ESG integration and monitoring services. Overall, the
business added 29 new logos in 2023. While we saw the impact of curtailed discretionary spending in the first quarter of 2024, to maximize revenue in the current
year and to build a broader revenue base for the future, we have amplified our focus on
getting into new buying centers and existing accounts.
We have a disciplined program of outreach to key stakeholders in our current small to
mid-sized accounts with early success stories in the first quarter. In the first quarter of

 the year, we also continued to see the momentum of new logo additions, including
adding a large asset manager into our client portfolio. We also continue to focus on
expanding our reach to Tier 2 and Tier 3 institutions through our partnership channels.
We are using Gen AI, Traditional AI, and Machine Learning techniques to develop new
offerings as well as to create efficiencies in the delivery of our core services. Overall,
the Risk, Analytics , and Solutions segment demonstrated strong growth in 2023. In the
first quarter of 2024, we saw some softness due to the impact of the slowdown in
discretionary spending.
Over to you, Subodh.
Subodh Rai : Thanks, Jan, and good evening to everyone. We are on slide 26 now. In this slide, we
have summarized the key risks we foresee for our businesses. Let me commence with
the

geopolitical and market environment. Last year, the effect of higher interest rates
resulted in growth slowdown in major economies, with the notable exception of the US
and India. As we head into 2024, major central banks across the world appear on the
verge of loosening their monetary policies by varying degrees.
However, geopolitical headwinds are becoming stronger due to the ongoing war
between Israel and Hamas, which has also led to Red Sea crisis affecting one of the
busiest transport corridors in the world. Escalating conflict between Iran and Israel has
further heightened the regional tensions and raised the fear of Israel -Hamas conflict
spiraling into much wider war. Continued war in Europe is also adding to the uncertainty.
Additionally, this year has another geopolitical risk in the form of elections in more than
60 countries, including India and US. The outcome of these elections has potential to
impact global business sentiments. In such an uncertain economic environment, we are
witnessing some of our clients turning more cautious and prolonging their decision-
making cycles.
Now coming to cyber risk, the threat perception continues to remain very high as threat
actors are becoming more sophisticated.
As you are aware, a substantial portion of our earnings are denominated in foreign
currencies. Fluctuations in exchange rates tend to affect us both ways.
While CRISIL has deployed an appropriate hedging strategy, any sharp volatility in the
currency moments remain a key risk to our global businesses. Lastly, I will talk about
the risk emanating from large- scale deployment of Gen AI across the globe. While A I,
ML-driven solutions have been in use in the financial sector for a very long time, their
applications were limited to specific tasks only.
The rapid rise of Gen AI has expanded the scope of its application, and for the first time,
several knowledge work categories, which are presently manual in nature, are
potentially within its reach. While the pace of adoption among our clients is relativel y

 slow, the nature of our flagship businesses is intellectual property -driven. We continue
to monitor the space closely.
On the positive side, Gen AI also presents potential business opportunities for CRISIL.
Therefore, we are also working towards large-scale adoption of Gen AI within CRISIL
to drive efficiency gains and explore new business opportunities.
With this, we conclude our presentation. And now, I will hand it back to Amish.

Amish Mehta: Thanks, Subodh. So, I think, you know, as you heard all of us speak clearly, you know, the geopolitical environment, what happened in the global banking environment last year, and the strong growth momentum in India, the resilience of the US economy,
clear ly demonstrates that the underlying business, based on the environment that we operate in, I think, remains resilient. There have been some challenges in terms of the decision-making of some of the global banking clients with what they are fac ing in terms of challenges.
We have seen that in the slowdown of discretionary spends, which has had potential impact on our global businesses. But we see momentum in terms of the products and solutions, the offerings that we have, the dialogue that we have with our clients, and the wide spaces that we look at, the connects that we do with our key stakeholders. If you look at all the conversations, I think the underlying business continues to be robust, and we are excited about the growth strategy that we have looked at, put in place.
So, with that, I'm happy to open up for questions -and-answers.
Moderator: Thank you, sir. We would now like to open the floor for questions. The first question is from the line of Harsh Shah from HSBC Asset Management. Please go ahead.
Harsh Shah : Yes, good evening, gentlemen. Thank you for the opportunity. Just a few questions on Q1 results, and then I have a couple of questio

ns on an overall strategy basis. That Q1, you had a heavy quarter last year, and because of which this quarter was a bit benign. On top of that, is there any slowdown that is being witnessed in this quarter, which has also led to a little bit of comparatively sluggish numbers? And if yes, will that slowdown also persist in terms of numbers throughout the calendar ye ar '24 also?
Amish Mehta: So, I think, like I mentioned, Harsh, that in the global environment, we are seeing some slower decision-making and impact on discretionary spend by our global financial clients, which has had an impact during the quarter. And I think we will continue to s ee that play out for the next few months or depending on when the decision- making cycle turns around for discretionary spend.
But to address that from our perspective, I think we have put a strategy in place to look at the white spaces, to reach out to stakeholders, identify areas of opportunity on the
risk regulatory side, data analytics, sustainability, private markets, and create new offering and solutions, which we try to meet up with our existing stakeholders within the banks as well as the new stakeholders that we are looking at and new clients. So, there

 is a plan that we have put in place. So, I think those are some of the actions that we are putting in place to help address the challenge which might be there in the environment, given the impact on discretionary spend by some of our global clients.
Moderator : The line for the current questioner seems to have dropped from the queue. So, we will move on to the next question. The next question is from the line of Nirali Gopani. Please go ahead.
Nirali Gopani: Hi. Thanks for the opportunity. So, my question is on the research division. So, if we see last few quarters, the margins have been very volatile, ranging from 18% to 24%.
And this quarter, it was around 16%. So, what should we consider as a steady -state margin when it comes to the research services?
Amish Mehta: I think, Nirali, you should always look at the annual margin, not look at quarterly margins.
So, from our perspective as an organization, our focus is to grow margins across all our businesses on a consistent basis. I think that is where we continue to foc us. We continue to build our IP. We continue to build our domain solutions, working with our clients to create that impact.
So, I would request you to look at the annual margin numbers and not look at the quarterly numbers because there would be various aspects which are sitting in quarterly numbers. I think it is always better to look at the annual margin profile.
Nirali Gopani: Okay. And you have talked about this global uncertainty and we all know what is going on globally. So, given the situation, should we expect some growth in the research division in this calendar year or maybe next calendar year? Some outlook would be helpf ul.
Amish Mehta: I think we do not give any forward-looking outlook, Nirali, as you are aware.
Nirali Gopani: I do not want anything quantitatively. Any qualitatively, if you can talk about it, it would be helpful.
Amish Mehta: I think it is very clear. Our endeavor is to grow as an organization across all our business segments in all geographies that we operate. I mean, we are very focused on driving growth, on accelerating growth and that is what we will be focused on.
Nirali Gopani: Perfect. Thank you.
Moderator: Thank you. The next question is from the line of Harsh Shah from HSBC Asset Management. Please go ahead.
Harsh Shah: Yes, sorry. My line got dropped. I hope I am audible right now.
Amish Mehta: Yes, Harsh. We can hear you.
Harsh Shah: Yes. So, just to the previous participant's question, I was alluding to that also earlier that barring quarter -to-quarter, you always mentioned that we should look at the

 company on a yearly basis and also exhaust global slowdown. Do we have e

nough
arsenal at our disposal that we can have a double-digit growth and also margin
improvement on a full year basis?
Amish Mehta: So, Harsh, I just mentioned some time back that we do not discuss forward-looking
outlooks. So, I will not be able to comment on that. However, I mentioned that as an
organization, our focus is to drive growth and continuously improve margins. So, that is
something that we will continue to work as an organization.
Harsh Shah: Okay. And just as an organization, do we have a correlation of how a sector, let's say
BFSI, IT spends are there versus how the discretionary spends of those financial
institutions also have with CRISIL because few of the IT companies are saying that
financial year 2025 for BFSI globally should be better for them than financial year 2024.
Amish Meht a: So, the spend of global institutions on CRISIL as a percentage will be miniscule
compared to what they would spend on the large IT companies. And if you look at the
number of global institutions that I think we can potentially work with is pretty large.
Harsh Shah: Understood. And the last question from mind is in terms of E SG rating license, where
are we and at what stage we are?
Amish Mehta: So, we have applied for the license as we have disclosed publicly and we are awaiting
feedback from SEBI on the next steps.
Harsh Shah: And is there a deadline for that before that date SEBI has to inform everybody?
Amish Mehta: No, there is no deadline as we understand.
Harsh Shah: Okay. That's it from myself. Thank you and all the very best for CY '24.
Amish Mehta: Thank you.
Moderator: Thank you. The next question is from the line of Anuj Sharma from M3 Investment.
Please go ahead.
Anuj Sharma: Yes. Thank you for this opportunity. Two questions. One is the merger with IHS Markit
has been for some time. Now, in terms of opportunities, in terms of outsourcing, could
you just help elaborate what is the opportunity as the journey yet started or there's not much there to look forward to? That's
question number one.
Amish Mehta: So, you are asking about the merger of IHS Markit with S&P Global, I'm assuming?
Anuj Sharma: That's right.
Amish Mehta: So, I think as you would be aware that there is a large footprint which IHS Markit and
S&P Global have in India beyond CRISIL, right? And I think we continue to look for
opportunities as CRISIL. So, we work very closely with the S&P Global Ratings. We

 have a captive which is the Global Analytical Center where we are working very closely
with the S&P Global Ratings business.
We are looking for opportunities to partner with different divisions of S&P Global and
identify opportunities where we can partner based on the capabilities that we have. And
that's something that we are wanting to grow in terms of business. So, that is something
that we are continuously evaluating and working on. We have had some success in
some of the businesses and I think that's something that we will continuously evaluate.
Anuj Sharma: All right. But would it be fair to say that a large portion of opportunity will flow down to
the captive which is beyond CRISIL and has it started already flowing through or you
believe that will be equally divided between the two entities?
Amish Mehta: No. So, I am unable to comment on the strategy of IHS Markit . I can only comment
about CRISIL. And our dialogue across the organization beyond S&P Global Ratings is
to evaluate based on the capabilities that we have and see how we can leverage, how
we can demonstrate value for the stakeholders and be able to levera ge the value.
Anuj Sharma: All right. And my second question is, it's always been a competitive market. But what
are the trends in pricing and yields in the Ratings segment? Just some thoughts into
that segment?
Management: Yes. I mean, R atings has been a competitive market throughout. So, I guess it isn

't very
different. That's, I mean, I'm not sure what you are exactly asking for.
Anuj Sharma: I'm trying to understand since the pricing was very competitive due to some stability and
improvement in the size of market. Are we able to see some pricing power along with
the competitors?
Gurpreet Chatwal : So, okay. So, if the question is, yes, in a growing market, there is enough pie for
everybody. So, I think what we've seen, we saw a couple of very difficult years after the
IL&FS and the DHFL incidents. Incidentally, we didn't rate both of them. But I think that
they were tough for the market. The last few years, we've seen growth in the industry
across. So, that has kind of created enough opportunities for everybody.
Anuj Sharma: All right. But if I may push on, is it the benefit is slowing down to the yields and pricing

or it is just volume as yet?
Gurpreet Chatwal : I think it's difficult sometimes to strip that out because you work with existing customers. Obviously, there is an operating leverage there and there are new customers coming in. But I would say when the market grows, I think it helps both sides.
Anuj Sharma: All right. Thank you so much.
Moderator: Thank you. The next question is from the line of Naysar Parikh from Native Capital. Please go ahead.

 Naysar Parikh: Yes. Hi. Thanks for taking the question. First was I want to understand for last year, could you help with the split in the R atings segment between bonds, bank, and bonds directionally if you want to split?
Sanjay Chakravarti: We don't give a segmental split, sub-segmental split of our businesses within a segment, Naysar.
Gurpreet Chhatwal: It's actually not also easy to do it. I mean, typically, you will have – I mean, some of it is issue -based pricing, some of it is pricing, which is bulk. So, people will shift between bond and capital market and sometimes – I mean, it is not easy for us t o put that out. Ourselves as well. I mean, I'm not saying that from public domain, but internally also, if you divide it, it is – we can argue it's best in apportionment process, but usually, sometimes I'm not able to make that differenti ation.
Sanjay Chakravarti: If you're asking about GA C, Naysar, if you look at the 2023 annual report, you will see that GA C's related party transactions are separately listed, and that comes to roughly around 10% -odd of our total consolidated turnover of the company, that is available for you in our annual report.
Naysar Parikh: No, no, that – Yes, that is that. No, that's fair. Okay. Second question was, in terms of the margins, and you spoke about, it a bit, but can you just give some more directional, sense, like, are we face there some kind of margin pressure that we are faci ng on the research side? And secondly, can you give split bit of the employees between how many are in India versus outside?
Sanjay Chakravarti: We do not give a headcount split, Naysar, but about the bulk of our employees, 75% to 80% of our employees are in India. We do not give a business -wide or segment -wide split. As far as margins are concerned, again, I think Amish alluded to this, that by one quarter on margins will not be reflective or in any way symptomatic of the underlying potential of the health of the business. If you look at the way we performed in ' 22, – the research segment had 21% on margins. We were at, again, a 21% margin in '23. The idea across all our businesses and our segments is to have revenue growth along with margin expansion. There will be cycles in between where we will see margins getting hit, and when I say hit, I mean the expansion of margins might see some level of slowdown, but as an organization, as a board, and as a management, we are very clear that every business that we run has clear pot ential of revenue growth and margin expansion.
Naysar Parikh: Okay. And last question is, do you calculate, track your market sh

are in the bond ratings or something like that? Any way there is a way for you to track what is your market share, and do you disclose that?
Gurpreet Chhatwal: So, the bond market, I think there are external vendors like Prime Database who kind of put that out, so we do track from them. The numbers, as I said, will vary based on quarters and on the volume set up, but on an annual basis, we typically track between

 60% to 70% is what it will move, but please understand it's a – bond market is a dual - rated market. The denominator isn’t 100.
Naysar Parikh: Okay. And bank ratings, there's no way to track?
Management: Bank ratings, bonds, you can identify bond, each bond, there's an ISN, you can, I mean, external agencies can do it. Bank ratings is difficult because some of the larger players can have multiple rating agencies and may not be exclusive for every loan they take, so that's difficult to track. I mean, you can estimate, but it's difficult to track.
Naysar Parikh: Okay. Thank you so much.
Moderator: Thank you. The next question is from the line of Bhavin Pande from Athena Investments. Please go ahead.
Bhavin Pande: Good evening everyone. Am I audible?
Moderator: So, you're sounding a bit muffled. In case if you're using the speakerphone, may we request you use the handset mode, please?
Bhavin Pande: I hope I am clear now.
Moderator: Yes sir. Please go ahead.
Bhavin Pande: So, I was just wondering, in terms, -- as we have cited in the annual report, the growth in terms of companies that were issuing was around 6% and the overall growth in the market was around 24%, 25%.
So, for us to forecast specifically for the Ratings business, what, in your opinion, would drive growth? Is it that more the number of issuers and the amount of issuance that they're doing would keep going simultaneously or it could be either of the two?

Gurpreet Chhatwal: So, your voice was muffled a bit. But if you're asking me, how does the growth in revenue correlate with the bond and the bank loan market. Yes, I think there are two or three levers here. One broadly will be the issuance volumes which are there in the market on the bond side, as well as the bank loans taken or additional limits taken by the corporates. That's one side.

And obviously also the multiplication is what you get as yield from that customer. And obviously the third lever is you may have price arrangements with certain customers based on because some are very large, they're based on aggregate volumes and doesn't really correlate with whether you do bond or bank loan. I think that's the third aspect.

And the fourth, which I would also say, there is a good amount of surveillance revenue we as rating agencies contract. So that is a good proportion of our revenue which is independent of what's happening today in the market.

 Bhavin Pande: Okay. But sir, what does specifically hinting at was in terms of number of players and the quantum of issuance, do you think is it that this -- what are the total quantum is it's driven by a few select players or do you think that over time it is changing and more number of players are also contributing to the quantum that is going up?

Gurpreet Chhatwal: That's right. So, I think it isn't usually unidirectional. We've seen years where there were a large number of players who come to the market and the more the number of players who come to the market I think usually bring incremental revenue. We've seen years where actuall y the number of players has dipped.

Over the last 2 years, we've seen increase in the number of players who are tapping the bond market per se. And so that has helped on that side, but on the other side, on the bank loan side, we've seen some of the smaller players dropping out of the market too.

So, the overall number of companies used to rate as rating agencies put together over the last 5, 6 years have decreased

. They stabilized about a year or two back, but until about 2 years back we saw numbers declining there which is the smaller companies were dropping out of the ratings.

Bhavin Pande: Okay. That was really helpful. And secondly, on the interest rate cycle, of course, you denied giving any specific guidance, but just from a perspective that even in a worst case scenario, we start seeing a rate cut cycle maybe a couple of quarters from now, would you sort of be more optimistic about this specific segment or as you cited in the previous remark that you would want this business sort of to be independent of the market cycle?

Gurpreet Chhatwal: So, market cycle in financial industry we can't be, but let me give you a perspective.

What we get paid for, what our revenues are linked to is aggregate borrowing in the economy. Now, if it happens to the bond side, you have the bond market as a proxy,

but the company needs to borrow and the bond market isn't favorable, he'll go to the bank and borrow. So, it isn't the fact that the interest rate cycle comes down.

If the aggregate borrowing in the economy increases, yes, it would be accretive. With typically what we track is with the interest rate cycle when it comes down, we tend to see that companies will start favoring the bond market more than the bank loan side, because the bond market actually factors in the declining interest rate faster.

And so it does for the increased interest rates too, but because it moves faster, so we anticipate that to pick up and bond market is usually a little bit more lucrative than the bank loan. So overall, yes, if the interest rate cycle turns around, our sens e is that's probably second half of the year, we would see more activity in the bond market.

Bhavin Pande: Okay. Wonderful, sir. And just one last thing on the Research business one could -- at least my understanding of the commentary that was presented in the annual report was that the business is mostly based around the increased regulatory requirements that are in the financial institutions on the tech side of things.

 But also one could see the mode that CRISIL is higher in terms of the number of analysts it has and the think power it has. So when you look at this business, is it more that is it that the regulatory requirement that would of course keep going up over tim e would be more gripping for the business or is it that the think tank that the CRISIL has in terms of the sectoral coverage it has will also contribute to the growth?

Amish Mehta: So there are three parts to the research analytics and solutions segment out here. One is the domestic non-ratings research Market Intelligence and Analytics business that we have, where we cover the entire economy to sectors, to corporate coverage in terms of research solutions, consulting where we work on funds and fixed income. We support the asset management industry.

So, there's a large coverage which happens. This is largely India which is a non-ratings business. The second part is the global benchmarking which Duncan spoke about

where we have benchmarking for corporate investment banks, global investment banks, for comm ercial banks largely in the US and other parts of Asia and now looking at Europe.
And the third part is working on the investment management firms where we have the offering of voice of customer. So, I think there are different offerings, and this is a combination of Coalition Greenwich that's the business where we work, and this is again another IP business that we have.
The third part of the business is where we do the G lobal Research and Risk Solutions where Jan Larsen is heading that business and he spoke about it, where we do work across research for global buy side, sell side firms. We do work on the credit lending side. We do work on the risk and regulatory side which you are referring to wh ere we support global clients on risk and regulator

y.
And we also support global clients on data analytics, sustainability, on change transformation, digital transformation. So, I think there are a set of solutions that we work on for our clients. And depending on the need from a risk and regulatory lens. If there are larger regulations coming in for global institutions it augurs well from our perspective because then the clients would need help for solutions and for analysts to come and help them.
Whereas if the environment becomes benign and the regulations go down, so the demand for those services will go down. But for the other parts of the business that you are talking about, those parts of business will continue to grow, but they will then become largely discretionary. And I think that's where clients make calls and then look at tech spending.
So, if clients are able to defer a decision for a quarter or two in a tough time, they would make that decision. So, I think that's the nature of the business that depending on what part of the solutions and business you are dealing with, the stakeholder you're dealing with, you will have that impact.

 Bhavin Pande: Okay. That was really helpful. Thank you so much, sir and good luck for the year ahead.
Gurpreet Chhatwal: Thank you.
Moderator: Thank you. The next question is from the line of Varun Bang from Aegon Life. Please go ahead.
Varun Bang: Hi, thanks for the opportunity. My first question is on the GAC side. So, we've talked about some of the tailwinds in the GAC segments and I think there we are also expanding scope of services. So, would you say the value addition would be much higher in some of the newer opportunities vis -a-vis what we have been doing over the past many years?
Amish Mehta: So, I think the nature of the work remains analytical. I think we are expanding on different streams of the businesses, different areas of the workflow if you were to look at across the different businesses that we are talking to. Within ratings itself, we have expanded towards different workflows, supporting the ratings business in different areas.
The nature of the work remains analytical across this team or support on the technology support side. And these are the large teams that we are working on for the ratings division.
Varun Bang: And, I mean, is there a way to know, I mean, how do we track this segment? How do we know if CRISIL is able to add more value, because we don't know the billing rate there?
Amish Mehta: So here, Varun, we work on a cost-plus mark -up model which is benchmarked for the nature of the work that we do. Because as this is being exported so you have transfer pricing requirements. We have other governance requirements. So, I think this is something we have been working. And this is, as I said, we've done 20 years of partnership for GAC with S&P Global.
So, if you want to ask me how we measure the fact that you have a global client like S&P Global with whom we have done 20 years of partnership, has grown from strength to strength. We have expanded across the workflows in terms of support after starting small. So now we support all the geographies. We support all their products from an analytical support perspective across on the data support side, technology support side.
I think that, to me is the measure of success that how we have expanded across the different businesses that the S&P Global ratings have. So when they were entering into sustainability, finance, we are supporting them on that business.
So I think every new business that they would enter, question is whether we are able to support them or no, depending on the need. I think, of course, depending on the regulatory requirements because these are regulated businesses. Please understand that ratings globally is a regulated business and there is a definition of what work can

Page 19 of 22 be outsourced, what cannot be outsourced. So, I

think our endeavor is to maximize
what can be outsourced and see, make sure that we deliver value to our clients.
Varun Bang: Okay, got it. And one question on the rating side. So which are the top three sectors for us in the rating business? And what would be the revenue split between large corporate and MSME ballpark numbers if you can share?
Amish Mehta: So MSME is a very small, anyway, the MSME doesn't come in ratings at all now. So, SME grading, if you are asking for, I think we don't classify that it's a part of the Market Intelligence and Analytics segment. So what sits within ratings is what we do as ratings.
Varun Bang: Predominantly it is large corporate?
Gurpreet Chhatwal : Large and mid-corporate. So, I mean, difficult to put the sector, it depends on which borrows, but I think the larger ones are the financial services, non-banks, banks. Infra has picked up over the last few years and manufacturing is a large segment, so I mean,
it's difficult to classify.
Amish Mehta: I mean, if you look at the number of companies we rate, I would say across segments from large conglomerates to across different segments. I think that would give you a perspective.
Varun Bang: Okay, got it. Thanks.
Moderator: Thank you. The next question is from the line of Rajiv Mehta from YES Securities. Please go ahead.
Rajiv Mehta: Yes, hi. Good evening and thank you for giving the opportunity. My first question is on the GBA business. So can we comment on sustainability of growth witnessed in GBA business despite the challenging macro?
And how is the business pipeline? See, I'm trying to check whether there was any lagged positive impact of any business one in the preceding quarter and hence Q1 looked pretty good for us. So, if you can just give us color, whether we can sustain the kind of growth momentum we saw in fourth quarter?
Duncan McCredie: So, the first quarter actually was pretty robust for us. We've had some the momentum that we saw in 2023 really has continued and the dynamic we see in our business isn't necessarily directly correlated to that discretionary spend trend because we can see some of our clients when they come under a bit more stress, they need our analytics to help them with their strategy to drive out of it. So the business actually has been pretty robust through quarter one. The business is a little bit more seasonal. And we see we tend to see more revenue into the back of the year, but we've we have seen a good quarter.
Sanjay Chakravarti: Rajiv, I think one of the questions you asked was, is there, if I understood it correctly, is there any spill over from '23 on to the first quarter of '24 driving growth? The answer is

Page 20 of 22 no. Nothing of that sort has happened. What we are also progressively trying to do is reduce the cyclicality in one part of the G BA business. And even as we go forward, we will see that cyclicality coming down.
Rajiv Mehta: Okay. And would it be possible to call out the service lines in GR and RS business, which have seen the impact of slowdown in discretionary spending?
Sanjay Chakravarti: No, I'm afraid not. Rajiv, we don't give, as I said, we don't give a sub-segmental or service line breakdown. But to answer your question, and I think Amish also pointed this out earlier, as had Jan in his slides when he was speaking, is that, look, looki ng at one quarter to see how a business is doing or to consider that that is reflective of the whole year will not be correct.
We have seen muted performance in that business. But I think we should look at the full year's performance to be able to fully understand because then the business goes through all its cycles of revenue and expense. And that is what will bring out the true potential in that business.
I think it should also suffice to say that, and again, Jan alluded to it when he was talking about in his slide, w hile we are seeing some level of headwind, we are a

lso seeing
opportunity. And those are the opportunities, the white spaces that we have, that we are going after.
Rajiv Mehta: And wouldn't it be safe to assume that our wallet share or competitive position remains intact in the GR and RS segment and that there was no role of we ceding market position in the revenue block, right?
Sanjay Chakravarti: No, our position, we still hold good. There have been certain external macro factors that have played a part. Our position holds good. In fact, our client stickiness continues the way it always has been.
Rajiv Mehta: And just last question on margins, if you can just call out the levers to protect margins, if we were to witness an extended period of spending slowdown, what will be the levers that you will use to drive and protect margins?
Amish Mehta: So a couple of things. One is, some of our businesses are I P businesses, where they have operating leverage. Some of our businesses are services businesses, where we look at what we are investing for new

solutions, what we are investing on our
capabilities. And there we then look for bench utilization, we look for productivity, we look for technology. So, there are multiple things that we will work on to try and keep working to improve margins, in addition to, of course, driving pricing and som e of the other things that we will work on.
And in some cases, and if you look at our past trend, you will see that there are times when you have to invest ahead of time, right, you are building capabilities for the future. Even if you don't have business in a particular quarter, if you're going to continue to invest for a couple of quarters, you will continue to invest in capabilities. And that's

 where your margins might see a lower number. But the moment the revenues come in, the margins start correcting .
So, I think the endeavor is to make sure that we are focused on our utilization, focused on our building our capabilities for the future, focused on leveraging technology. Okay, and I think these are areas where we would continue to invest while driving revenue growth and making sure that we are doing what is right from driving productivity and efficiency.
Rajiv Mehta: Yes, Thank you for answering all my questions and best of luck.
Moderator: Thank you. The next question is from the line of Priyanka Goel from Trident Capital. Please go ahead. Priyanka, your line is unmuted. You can proceed with your question.
Satya Trivedi: Hi, thank you so much for taking my call. This is Satya Trivedi filling in for Priyanka. My question is slightly higher level. There is a lot of discussion around the sovereign credit rating of India and the need of the hour is to upgrade that rating to something which is more reflective of the economic reality of the country today. Now, in that context, the fact it's one of the, so one of the ways it is being discussed that this gap can be addressed or this dependency on W est-based credit agencies can be reduced is to give more prominence to the home-grown credit agencies. And if they, if the home-grown credit agencies they start doing sovereign ratings, then there is almost some level of fairness that can be brought into t he sys tem.
From a competitive positioning perspective, the fact that you are owned by S&P Global, and do you see this, I'm curious to hear your views on the sovereign rating issue. I'm curious to hear your views on how you are positioned then vis -a-vis home-grown cr edit rating agencies who can actually start doing sovereign ratings while you cannot because you're obviously owned by S&P Global.
Gurpreet Chhatwal: I don't think it's possible for us to comment on the sovereign ratings. I think we've been set up as a domestic rating agency. The idea was to fulfil the need in the domestic credit universe to provide benchmarking.
So, 1988 we set up when there was practically way less differentiation on credit an

d
everybody used to get the same interest rate. I think we've made a difference. And India is one of the most successful domestic credit rating, has one of the most vibrant domestic credit rating agencies in the world.
So, I think that's where we are. At this juncture, it's very difficult to talk about where the demand would come from, because ultimately when you set up a business, it is you have to look at demand, supply, etc. I think the point of time, I think it's not, it won't be possible for us to comment on that question.
Satya Trivedi: Okay. My view would be that it would be a competitive impediment if a couple of the home- grown ratings agencies start doing sovereign ratings. Then we will find ourselves

 at a slightly disadvantaged positions because then these home-grown agencies would sort of gain more credence, gain more prominence.
Is that something, and I don't expect you to answer this question to me in the public forum, but I'm curious if this is something that is on your radar, if this is something that you discuss internally, domestically, if this is something that you would di scuss with your parents.
Amish Mehta: So, ma'am, I think as a rating agency, as an organization we look at everything which happens within the space, whether it happens here or outside, and we will continue to monitor. I think that is something that as an organization, we would look at the entire landscape.
Satya Trivedi: Okay. Fine. Thank you very much.
Amish Mehta: Thank you.
Moderator: Thank you. The last question is from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.
Abhijeet Sakhare: Hello. Good evening, everyone. Not sure if this was asked earlier. I'm sorry if it's getting repeated, but on the R esearch side, I just particularly wanted to know, has there been any impact of some of the large M&A deals that have happened in the sector in the past year and that leading to some vendor consolidation, and whether that's had, let's say, some sort of a one- off im pact for us?
Amish Mehta: So, I think we did speak around the impact from a global slowdown from a discretionary spend of global

financial institutions. And I think the volatility last year, given some of
the transactions which happened from an M&A perspective in the global banking
industry, plus what happened in the U.S. in the global banking industry. So, I think all
put together, there has been an impact in the industry on discretionary spends, and that
has had some impact on our financials for the quarter.
Abhijeet Sakhare: Got that. Amish, just to capture overall broader trends better, is it possible to give some
sense, I mean, right now or maybe later in the future around some components of the
research business around different scope of work or verticals or geographies,
whichever way kind of you would want us to look at, that would be very helpful.
Amish Mehta: Okay, we'll take that feedback. Abhijeet.
Abhijeet Sakhare: Thank you so much. Have a good day.
Amish Mehta: Thank you.
Moderator: Thank you. Thank you, sir. That concludes today's call. Thank you, everyone, for joining
us. You may now disconnect.

Call: May 2025

May 9, 2025

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Dear Sirs,
Sub.: Analyst Call Transcript

Pursuant to Regulation 30 read with Part A of Schedule III and Regulation 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosing herewith transcripts of the Analyst Call held on Tuesday, May 6, 2025. The transcripts are also available on Company's website at https://www.crisil.com/en/home/investors/analyst- hub.html .

Kindly take this communication on record.

Yours faithfully,
For C risil Limited

Minal Bhosale
Company Secretary
ACS 12999

"Crisil Limited
Analyst Conference Call"
May 06, 202 5

Management: Amish Mehta
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Gurpreet Chhatwal
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Dinesh Venkatasubramanian
Chief Financial Officer , Crisil Limited

Sanjay Chakravarti
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Subodh Rai
Managing Director, Crisil Ratings Limited

Priti Arora
President & Business Head , Crisil Intelligence

Duncan McCredie
President & Business Head , Crisil Coalition Greenwich

Moderator: Good afternoon everyone and a warm welcome to Crisil 's Analyst Call 2025. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.
Please note that this conference is being recorded. Before we start, as a standard disclaimer from Crisil , we would like to state that certain forward -looking statements during our interaction today are based on a current understanding of the company profile and market conditions. These are subject to change based on changing policies of the company and macro environment.
The company does not undertake to update the forward -looking statements or other information contained in the presentation, whether as a result of new information, future events or otherwise. As a policy, company reframes from giving specific quantitative guidance on its future performance. Further, in the interest of fair disclosures to investors, operational details relating to specific business segments, consumer contracts will not be possible to be disclosed.
I would now like to introduce you to the speakers of the call today. Amish Mehta, Managing Director and CEO, Gurpreet Chhatwal, Chief Operating Officer, Dinesh Venkatasubramanian, Chief Financial Officer, Sanjay Chakravarti, President, Risk and Compliance, Subodh Rai, Managing Director, Crisil Ratings Limited, Priti Arora, President and Business Head, Crisil Intelligence, Duncan McCredie, President and Business Head, Crisil Coalition Greenwich Let me now hand over the call to Mr. Amish Mehta to commence the proceedings.
Amish Mehta: Thank you. Hello everyone and a very warm welcome to each one of you. Trust, you are all doing well. I am pleased to share that during 2024 and in the first quarter of 2025, we have demonstrated resilience amongst macroeconomic uncertainty. Our customer -centric approach and domain -led solutions have enabled us to drive meaningful impact for our clients, a ligning with our purpose of making markets function better. Our core values of integrity, partnership, discovery and excellence give us a winn ing edge in the market.
Let me start by looking at the analyst presentation on slide four. I would request all of you to refer to that slide. In January 2025, we rolled out a new brand identity, positioni

ng
our businesses under a cohesive brand identity, Crisil Ratings, Crisil Intelligence, formerly Market Intelligence and Analytics, Crisil Coalition Greenwich, formerly Global Benchmarking Analytics, and Crisil Integral IQ, formerly Global Research and Risk Solutions, offering consistent and more connected experience for clients around the world.

Our new brand identity reinforces our position as a global insights -driven analytics organization and conveys a more progressive vision for our future. Moving to slide five, Crisil continues to have a global presence with more than 4,600 employees. We leverage our talent to deliver value to our clients and have been recognized as a great place to work.
Crisil was featured and recognized in Chartis RiskTech 100 2025 list and won a medal in the Model Validation category and garnered recognition across seven Chartis Research Quadrant Ranking reports in 2025. This is in addition to some other recognition which is there on the slide. Let me move to slide seven and talk a little bit about the key tre nds in the macro and business environment. A few trends on the macro and the business side.
The global economy, which showed considerable resilience in 2024, is facing challenges with the ongoing tariff actions and the consequent impact on growth prospects. Higher tariffs could put great strain on consumer sentiments, business planning, and inves tments, as also impact global trade and fuel inflation.

S&P Global recently lowered the GDP growth forecast for most countries and raised inflation forecasts for the U.S. S&P expects to see a material slowdown in growth across various economies around the world.
Given this context, we believe the following will be the key trends in 2025. Globally, while the banks are maintaining their measured stance towards discretionary spends, we are seeing clients going ahead with transformation initiatives, with spends contin uing in areas such as cloud data analytics, AIML automation requirement on the regulatory side, if they are to handle any.
Asset managers continue to face pressure on improving cost -to-income ratio and thus have increased willingness towards undertaking transformations. We see continued traction in the private markets due to sustained client activity, which creates opportuniti es for the services players. Evolving macro situation translates to greater client need for enhanced value and actionable insights, from benchmarking solutions to target opportunities and efficiencies, which is again an opportunity for one of our business es.
However, elevated uncertainty may lead to tighter client budgets and delays in discretionary spending by global clients.
We are witnessing accelerated adoption of Gen -AI across industries, so most companies are still in the early stages of their journey. We continue to explore ways to enhance our client offerings and internal productivity through the use of Gen -AI and techno logy.

Coming to the domestic environment, India's GDP is expected to grow at 6.5% in Fiscal 2026, with a downward bias. Despite the buffer from monetary policy, healthy external markers, and strong corporate balance sheets, the downside risks to India's growth have risen due to potential trade impacts from slowing of major global economies.
India's medium -term growth trend is expected to remain healthy, driven largely by investments, efficiency, and expected deregulation.
Bank credit is likely to grow to 12 %-13% just Fiscal, compared with 11 -11.5% estimated for Fiscal 2025, given three tailwinds viz. the recent supportive regulatory measures, a boost to consumption from tax cuts, and softer interest rates. Deposit growth, though, merits a close watch.
Corporate bond issuances might see greater traction, driven by easing monetary policy, provided the impact of macro and geopolitical issues is minimal.
With

this background, let me turn towards the performance update, which is on slide 9.
Our businesses have demonstrated resilience in 2024 and delivered revenue growth and robust margins in the first quarter. Owing to our customer -centric approach and domain -led solutions, we continue to deliver impact to our clients. We continue to expand our client base across various businesses with strong client feedback.
Crisil Ratings maintained its leadership in corporate bond ratings, given investor preference for best -in-class ratings, and maintained healthy revenue growth during the quarter.
Crisil Global Analytical Center witnessed growth in delegation of surveillance from S&P Global Ratings and demand for support in new areas from S&P Global.
Crisil Integral IQ saw momentum in buy -side offerings and made progress in using Gen - AI for client solutions. Overall, curtailed discretionary spending and cost -cutting pressures by financial services clients impacted growth and revenue in the system.
Crisil Intelligence witnessed momentum in industry research, consulting, credit, and risk offerings. We integrated our Gen -AI capabilities into the credit assessment and credit solution, Credit + ICON , which we offer to our clients.
Crisil Coalition Greenwich witnessed some momentum in corporate and investment banking, with scaling of product offerings and client engagement, strengthening demand from large commercial banks. Growth in the commercial and community banking space benefited from digital banking programs.
We are investing in new -age technologies, including Gen -AI, and in 2024, we successfully deployed a Gen -AI credit assessment solution for our global clients in one of our businesses.

Our franchise activities continued well during the quarter. We hosted the 9th edition of

Crisil India Outlook Conclave theme, 'Unleashing Manufacturing : the Competitive Clearing Call ', and released a report titled 'Safe Harbors and Windy Waters '. The Crisil Infrastructure Yearbook was launched at 5th edition of India Infrastructure Conclave 2025, titled 'Navigating India's Decarbonization Journey '.

Crisil Foundation continues to drive positive impact through initiatives aimed at building financial capabilities of underprivileged communities and promoting environment conservation. The flagship Mein Pragati initiative expanded its outreach to over a million people in Assam and Rajasthan. Crisil Foundation continues to be a leading implementation partner of the RBI's Money Wise Centers of Financial Literacy (CFL) program through its 669 centers spread across multiple states.

Overall, we remain steadfast in our commitment towards our core purpose of making markets function better. We continue to develop core capabilities through domain - specific IP and strategic digital initiatives, delivering actionable insights, continuing to set the standards, and empowering clients to make mission -critical decisions with confidence. We continue to make significant investments in digital infrast ructure, information security, and building a future -ready talent pool.

Let me now hand over to Dinesh to take you through the financial performance in detail.

Dinesh V.: Thank you, Amish. I'm on Slide 11 of the presentation where we have the financial performance for the year 2024 as well as Quarter 1 of FY '25.

To start, I just wanted to reiterate that our segmental reporting continues to be the same. We have our Rating Services segment, which includes Crisil Ratings and GAC, which is our global analytical center where we do work for S&P. And the second segment is the Research , Analytics and Solutions segment, which includes our global businesses, Integral IQ, the rebranded name for Global Research and Risk Solutions, Coalition Greenwich, and Crisil Intelligence, which was earlier called Market Intelligence and Analytics.

Let me start with the fi

nancial results for financial year 2024. Overall revenue growth was a modest 3.8%, mainly due to the curtailed performance of the Research , Analytics and Solutions segment. Our services offerings in the global businesses were impacted by curtailed discretionary spends of global clients. Profit before tax, however, grew by almost 7% year -on-year.

In the fourth quarter of FY '23, you may recall, we had included a one -off gain of approximately INR 29 crores on account of the devaluation of the Argentinian Peso. If I were to exclude the impact of that , year-on-year, full year 2024 PBT growth will be about 10.5%. Profit after tax for the full year grew about 3.9% year -on-year. And again,

excluding the impact of the devaluation of the Argentine Peso in the fourth quarter of '23, growth would have been about 7.5%.

Coming to the first quarter of FY '25, we continue to see revenue growth. We have reported a 10.2% growth over the corresponding quarter of the previous year. We continue to focus on cost management and margin improvement across our businesses, and both PBT and PAT for the quarter have grown by approximately 16% on a year -on-year basis quarterly. We've also declared a first interim dividend of INR 8 as compared to INR 7 at the end of quarter one last year.

I will now request Subodh Rai, Managing Director of Crisil Ratings, to cover the Rating Services segment performance.

Subodh Rai: Thanks, Dinesh, and good afternoon, everyone. Now, I shall be taking you through the segmental performance of Rating Services for calendar year 2024 and first quarter of 2025. I'm on Slide 13, and on this slide , we are talking about the key growth drivers for the credit rating industry in India.

First, let's talk about the bond issuances. We witnessed a growth of 12.5% on a Y -o-Y basis during the last calendar year. The decline in bond issuances in the first half of calendar year 2024 amidst hardening yields was more than offset by a healthy growt h in the issuances in the second half. The pickup in the second half of calendar year 2024 was largely led by large and frequent bond issuers in the financial sector. The pickup was more pronounced in the month of July to October 2024. However, since last November, the growth in bond issuances turned muted in anticipation of rate cuts. Even in Q1 2025, we are yet to see a significant uptick as the bond issuances witnessed a rapid growth at 3.9% on Y -o-Y basis.

On a positive note, the Reserve Bank of India has cut key policy rates by 25 basis points for the second consecutive time in April 2025, amounting to a cumulative reduction of 50 bps in 2025. It has also changed its stance to accommodative from neutral, si gnaling rate cuts can continue. Easing inflation has further increased the space for the RBI to support growth through rate cuts. Crisil expects at least two more repo rate cuts of 25 bps each in the rest of fiscal 2026. The rate cuts are also reflected in the 10 -year government securities (G-Sec) yield, which has softened to below 6.5% level. Declining G-sec yields can lead to a reduction in AAA and AA -rated corporate bond spreads, thereby reducing the overall corporate bond yields. Hence, we expect increased bond issuances in 2025, added by potential rate cuts, and softening bond yields. Havin g said that, continued geopolitical tensions and uncertain trade conditions led by U.S. tariff actions remains an overhang, as it may keep corporate spurs about investment, thereby delaying their borrowing plans.

On the other hand, the bank credit growth has declined on Y -o-Y basis to 11% as on February 2025 versus 16.6% as on February 2024, due to slowdown in services and

retail sector credit growth. The wholesale bank credit growth also slowed down to 9.8% as on February 2025 versus 15.2% as on February 2024. The growth in the services segment is impacted largely due to lesser c

redit extended by the banks to the NBFC

sector. The slowdown is a result of RBI's tightening measures of raising the risk weight for bank loans to NBFCs. Furthermore, the large corporate credit growth also slowed to 5.2% as on February 2025 compared to 6.4% as on February 2024.

We expect a slight uptick in the bank credit growth by 100 to 200 bps on -year in fiscal 2026 with the growth supported by rollback of risk weights for NBFC, a boost to consumption from tax cuts, and softening of interest rates. With effect from April 1, 2025, the RBI has rolled back the increase in the risk weights for bank loans to NBFCs that was announced in November 2023. However, the growth in lending to NBFCs may still be lower than the levels seen in the past, as we expect banks to be more selective amidst asset quality headwinds in some segments catered by the NBFCs.

Moving on to Slide 14, here we have provided Rating Services segmental performance for calendar year 2024, as well as Q1 2025.

For calendar year 2024, the domestic ratings revenue benefited from the uptick in bond market in the second half, few large deals, and continued momentum in the mid - corporate space.

For Q1 2025, the growth is supported by positive momentum in both the surveillance fees as well as new ratings revenues. The growth in new rating revenues is aided by continued investor preference for Crisil Ratings.

We continued our focus on client engagement initiatives, and further strengthened our thought leadership position driven by our cutting -edge insights , opinion pieces and webinars.

The Global Analytical Center, GAC, division saw strong growth from new engagements and robust surveillance work delegation from S&P Global Rating Services. Overall, the Rating Services segment grew by about 32.5% Y -o-Y in Q1 2025.

I will now pass on the proceedings to my colleague, Priti Arora, who heads Crisil Intelligence. Thank you.

Priti Arora: Thanks, Subodh. Good afternoon, everyone. I'm Priti, President and Business Head of Crisil Intelligence. Now, this vertical represents the India and Emerging Market s- focused non -ratings business of Crisil where we offer research, data analytics, distributions, and consulting.

Now, while economic growth is the main driver in our business, healthy loan growth, financialization of savings, and capital formation are also strong indicators and proxies.

So, if I go on the domestic front, as we can see on the Slide 16, the stronger balance sheets of banks and healthy flows to the capital market remain positive. Over time, the gross non -performing assets have declined, driven by two areas. One, the lower slippage, steady write -offs, and efficient recovery from the corporate loan book . And second, because of the shift to the retail portfolio over the years. The lower NPAs at 2.5% to 2.6% of advances means that the bank s' balance sheets are adequately healthy to meet the current demand.

We also witnessed some pretty impressive growth in its mutual fund industry over the years, driven by increase in retail participation, higher portfolio counts, robust growth in investments through systematic investment plans, and ease in investing provided by various platforms. In fact, in fiscal 2024, the mutual fund AUM accounted for an all -time high of 18.2% of the GDP. Our AUM has been stable compared to the last quarter, as you can see on the slide, given the volatility in the market in recent months. The move towards passiv e and the alternate segments continues to progress well.

If I move on to Slide 17, what you can see here that in terms of the India's private sector, we're in a better position to invest compared to what it was a decade ago. India's corporate sector has been through a period of deleveraging, which combined with lower key commodity prices has contributed to better financial health. Corporate earnings clocked a CAGR of 12% over fiscal 2019

to 2025, supported by efforts to enhance operational efficiency and to manage costs. The material deleveraging, as you can see on the chart, and improved financial flexibility has been broad -based and facilitated by low capex, new issuances in equity markets, as well as slowing back of profits to retire debt.

So the industry is poised to explore both opportunities underpinned by these robust credit fundamentals, efforts by the government such as the PLI schemes , as well as the increasing capacity utilization. We are optimistic about the medium -term growth prospects of the Indian economy, driven by a combination of these factors. However, as Amish alluded earlier in the presentation, the key monito x`rables continue to be on the global uncertainty. The new tariff structure imposed by the US, the possible retaliatory measures, and the trade deals by the affected countries are expected to realign global trade, leading to excess supply and volatile commodity prices, and potentially also reducing volume.

From a business performance standpoint, in the uncertain environment, the need for insights and analytics for our clients continues to stay very relevant. In the industry research, we observed a strong renewal rate, both for our traditional and emerging sector research. We have also been combining Gen -AI capabilities with cutting -edge analytics and our domain expertise for our products and solutions, such as Credit +. The consulting services also saw good growth in transport and clean energy areas, with

continued spends on infrastructure and renewables, while we continue to monitor the overall spend s in an uncertain environment.

Let me now hand over to my colleague, Duncan, to provide an overview of the global front.

Duncan McCredie: Thank you, Priti. Hello, I'm Duncan McCredie, President of Crisil Coalition Greenwich. I am going to outline the key trends in the global Corporate and Investment Banking sector through 2024, and a business update on Crisil Coalition Greenwich. I'll be referring to Slide 18 of the analyst presentation.

Global revenue pools in CI Bs were up marginally in 2024, thanks to a return on activity in primary capital markets.

In IBD, deal activity began an upward trend in Q2 2024, and momentum continued to build through to Q4. The market saw a marked increase in large and cross -border M&A deals, and primary capital markets issuance saw strong activity with the backdrop of buoya nt secondary markets.

Fixed income divisions of banks saw steady performance year -on-year, with increased volatility in Q4 around election events, driving a recovery after a slower start to the year.

Equit ies divisions saw strong performance year -on-year, led by buoyant markets in Americas and APAC.

Banking activity was relatively stable, with some decline in corporate appetite for lending and muted growth in transaction banking and trade finance.

Overall, returns on equity saw a positive trend, thanks in large part to the recovery in IBD.

Crisil Coalition Greenwich saw good momentum in corporate and investment banking, with scaling of product offerings and positive client engagement from large commercial banks, strengthening demand for our products.

We also saw good growth in commercial and community banking space in the US. As we look to maintain our growth trajectory, we continue to invest in our offerings in new and adjacent market segments, such as private credit and regional banks, amongst others .

Let me now hand over to Gurpreet to cover Integral IQ and the overall segment performance.

Gurpreet Chhatwal: Thanks, Duncan. Good evening, everyone. I'm Gurpreet Chhatwal, and I'll take you through a brief business update on Crisil Integral IQ, as well as the segment al

performance for Research, Analytics, and Solutions for Q1 2025, as well as for CY 2024. This is on Slide 19.
Crisil Integral IQ's p

erformance was muted in 2024 due to curtailed discretionary spending by many of our global customers. From a revenue and profitability perspective, the global banks had limited appetite for discretionary spends, which you saw on the slide which Duncan presented. The other reason for their muted spends was that both the US and the UK underwent an election in 2024 that brought in its share of policy uncertainty. Lastly, we saw in 2023 a failure of three regional US banks, namely SVB, Signature, and First Republic , which kept uncertainty levels high amongst the midsized banks in the first half of 2024. With these multitude of factors, many of our clients deferred spending and adopted a wait -and-watch stance.

On the other hand, we saw and we are currently witnessing continued growth and traction in areas such as private capital and the usage of GenAI , and data analytics. We are also witnessing an increased traction in midsized banks for their offshoring solutions options to manage costs more effectively. Asset managers, especially next - year ones, are increasingly focused on their cost -to-income ratios and are exploring operational transformation and cost efficiency initiatives.

At Integral IQ, we are focusing on the growth areas as well as the growing customer segments with appropriate investments. In Q1 2025, we are witnessing positive traction in our discussion with our customers and continue to focus on strengthening our pipel ine.

Now let me come to the segment al performance of the Research Analytics and Solutions segment for Q1 2025 as well as the last year.

In 2024, the segmental revenues were marginally lower than that of the previous year due to the impact on discretionary spending by global customers, as I highlighted , and conclusion of a few long -term projects. The segment margin in 2024 was higher by 2.4% compared to that of the previous year. A point to note is that 2023 margins included a one -off gain of INR 29.4 crores due to a sharp devaluation of Argentinian Peso.

As for Q1 2025 performance, the segmental revenues grew by approximately 2%. Segmental profit, on the other hand, witnessed a strong uptick in Q1 2025, growing approximately 16% on year, on the back of changing product mix and continued focus on margins.

Let me now hand over to Sanjay to cover the risk s section.

Sanjay Chakravarti: Thank you, Gurpreet. I'm looking at Slide Number 25 and would like to speak on certain points covered on this slide.

Let me start with macroeconomic and geopolitical risks. Given the current circumstances, we've kept this risk on active watch given global developments. However, at this stage, we have not seen any material direct impact on our businesses on account of geo political conditions.

The second one, which I would like to speak on, is foreign currency risk. Our global operations generate significant revenue in foreign currencies, thus leading to the risk of exchange rate fluctuation, which can negatively impact profitability. Crisil has a well - structured hedging policy to forward contracts to act as a buffer against any kind of FX volatility that might occur.

Finally, I would want to take a few minutes on people risk. We are a talent company and our people are our key assets. Hence, we always have a proactive approach towards people management and attrition. Having said that, our attrition rate has been stable compared to past trends and is in line with industry trends.

On the remaining risks listed on this slide, should you have any questions, we would be glad to address them during the question -and-answer session. With that, I will hand over the mic to Amish Mehta.

Amish Mehta: Thanks Sanjay. As you heard all of us speak about the current global uncertainties, we continue to see opportunities for our businesses. Our focus on developing client solutions to navigate this environment and cover the white spaces posi

tion us well. Our
strategy of having a portfolio of businesses has ensured that we are able to grow on a sustainable basis. And we continue to be excited about our strategy to drive growth across all our businesses while investing in new capabilities. Happy to take any questions that might be there. Thank you.

Moderator: Thank you very much. We would now like to open the floor for questions. The first question is from the line of Rajiv Mehta, Group Vice President.

Rajiv Mehta: Thank you for giving me the opportunity and congratulations on a strong operating performance in Q1 of CY '25? My first question is on GAC. Now, the kind of momentum that we have seen in GAC in the last 3 -4 quarters, it broadly falls in line with the objec tive that we had revealed in the last April AGM that we want to take the engagement with S&P to a certain level in the next 4, 5 years. But if you can split the current direction that you are witnessing between rating support and non -rating su pport, so that we know how the growth is shaping up.

And even within rating support, is it purely driven by higher volumes or more value addition there? And in non -rating support, which are the areas and opportunities that we are targeting within the whole S&P curve?

Amish Mehta: Thanks, Rajiv. Thanks for the question. I'll just request everybody who comes up just to also give the name of the organization, that you are representing, just to kind of help us understand. I think GAC, and I think you picked up well, that we had at the last AGM mentioned about the potential to grow business with S&P Global, which we perform as a part of GAC. I think the growth has bee n seen within GAC, we have seen across the portfolio, right, on surveillance delegations, the support that we do on digital transformation, and the entire work that we do for S&P Global Ratings.

So it is, I think, supporting them in their growth journey, also supporting on the technology transformation journey that they embark on. When we come to the non -S&P Global Ratings business that we have, I think the focus there is to play to our strengths, which is largely on the analytical side, research side, areas that we have been able to support them, program management, technology, of course, technology transformation, and data analytics. Areas which are core to Crisil , where we have been able to, you know, we can develop a center of expertise for supporting the other businesses of S&P Global. And work which we have -- which we have been able to do for them in the past business.

So that's been the nature of growth that we are looking at driving. And then those are the areas that we are trying to drive, you know, within the group of S&P Global.

Rajiv Mehta: Okay. Sir, I belong to Yes Securities. Now, my second question is on the GR&RS erstwhile, and now , Crisil Integral IQ. So, sir, I mean, when I look at your commentary and your presentation also, you are still saying that clients are expanding in certain transformation areas. And so far, we haven't seen much of an impact of the geopolitical uncertainty as yet . So, I mean, if the macro were to turn around, say, positively, from maybe one, two, three quarters down the line, how are we positioning ourselves, maybe through investments being done in maybe sales or product offering, delivery capability. So that when the scenario turns around, we are able to gain wallet share, win new business, win new clients. And we can fully participate, more than commensurately participate in the growth in the coming year, say?

Amish Mehta: So, a couple of things I would say, Rajiv. I think we continue to focus on and looking at the growth segments. And I think both me and Gurpreet, we tried to touch upon some of them. I think it was in the, in the space of asset management, the space of big banks, right, regional banks , I think private market playe

rs, I think there are areas of opportunity
that we see going forward. And I think we continue to build both our capabilities as well as sales teams to look at building a pipeline, building our presence across these markets to d rive growth.

I think on the other aspect of Coalition Greenwich as well, I think we are looking at, again, growing regional banks, we are looking at growing the asset management side. So, we have identified areas of opportunity which can help drive growth. That is, and if

let's say, the growth turns positive like you mentioned on the global side. I think that will accelerate the journey and the momentum that we are trying to build for ourselves.

So, we continue to invest in building presence in offerings as well as on the sales side
to make sure that we are able to harness the opportunity as and when it arrives.
Moderator: The next question is from the line of Balaji Subramanian from IIFL Securities.
Balaji Subramanian: My first question would be on the domestic rating revenue. So, you have mentioned
that you have seen 27% growth in this quarter and a couple of quarters back also you
did close to 30% growth. And if I look at these numbers, these are probably the best
you have had in the last 12 -13 years. So, what exactly is driving this kind of growth?
You did mention that you benefited in both initial rating and surveillance, but any color
on what exactly is driving this kind of significant outperformance versus the rest of the
industry and also versus your recent history, that would be very helpful. So , I will ask
my second question after you address the first one.
Amish Mehta: So, maybe I will request Subodh to address your question. Subodh?
Subodh Rai: Thanks, Amish. So, as Amish has spoken, you know, there's a clear preference for
best-in-class rating in the market and there is a benefit from that. And specifically
speaking about recent quarters, we benefited from the uptick in the bond market that
we s aw in the second half. That was a positive for us. We also benefited from a few
large deals that happened in the market. And if you look at mid -corporate space, we
are seeing good momentum on the enhancement side. So, that has really helped us.
And I think in the infrastructure segment also we are seeing good momentum. So, put
together we have been able to top the number that you have seen on the screen.
Balaji Subramanian: Got it. But at least, I know maybe looking at one quarter's performance may not be the
right way to look at your business. But at least at the industry level, the bond issuance
growth was just 4%. So, while I do understand that the preference for your supe rior
quality ratings and all stays. But any sense on how the revenue growth was so strong
despite the fact that the macro economics were kind of just okay -ish?
Amish Mehta: I think, Balaji, I think it will be good to look at annual numbers rather than looking at
quarterly numbers is what I would recommend. I will always suggest that to everybody.
And end of the day, it depends upon the market. It depends upon fundraising plans of
corporates. It depends upon activity in M&A. So, I think there are multiple things which
play out when you look at the market and how Crisil 's positioning on the analytical rigor,
if you look at some of the benchmarks and compare. I think you will see where Crisil
stands. And why would there be an investor preference for ratings from Crisil . I think
these are some of the factors which have continued to auger well for us over a period
of time. You can look at the benchmarks. And I think that is what we will continue to

drive through our work, through our analytical rigor, through our franchise, through our
thought leadership and that's where you see the outcome which you are seeing.
Balaji Subramanian: Thank you. That is quite helpful, Amish. My second question would be on the over

all
discretionary spending outlook. So before the recent bout of uncertainty set in, at least
in September and December quarters, we were seeing pretty strong results from the
U.S. and global banks. And the expectation was that discretionary spending should
probably pick up in two or three quarters.
And based on where we are today and amid the macro uncertainty, how have things
stand out? Are we seeing any positive signs on discretionary spending or do you think
it will get pushed out by a quarter or two?
Amish Mehta: Gurpreet, do you want to address that?
Gurpreet Chhatwal: Thanks, Amish. I think it's something which I would say that we are watching closely
from, this is largely talking about the larger banks. But as I think Amish mentioned and
I think we continue to focus on the growth areas in the whole spectrum, I think gr owth
areas and the growth segments, I think private capital investment, GenAI, data analytics
I think those are happening.
And we're seeing segments like midsize banks, segments like asset managers, both
large and midsize continue to invest in options which will make them more efficient. I
think those are investments which are happening. As we saw last year, we've seen this
year. So as we mentioned, I think we're pivoting our strategy to ensure that we focus
on those areas and general trend which we are also seeing is people are looking at
both offshoring and automation. I think that that is also continuing.
So as I said, I think some of that for the large investment banks, I think that that is an
area which we continue to watch. And when we see traction, we will inform on that. But
we've pivoted our strategy to focus on the growth areas.
Balaji Subramanian: If I can ask a quick follow up on that, are we seeing any headwinds because of GCCs,
especially scaling up in the last couple of years?

Gurpreet Chhatwal: I think it's both as I would say, I think we've seen GCC scaling up. I think GCCs make sense for relatively large institutions on the other side who can look at a relatively large number of, I would say, body of work to move on and then kind of make sense. But I think at the same time we're seeing GCCs also working with offshoring players to be able to fill up the demand. At the same time, people are looking at niche solutions, which many of us play.

So I think it is, I would say, it isn't one way solution. I think there is enough demand both for the GCCs as well as third party players like us.

Balaji Subramanian: Got it. That's it from my side. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Krishnan AS V from HDFC Securities. Please go ahead.

Krishnan AS V: Many thanks for taking my question. This is to do with Slide 17 of the presentation. And I just wanted to understand, given your vintage of having looked at India Inc. for a very long time, what does it take for India Inc. to start reinvesting and to revive the capex cycle? How much of that tailwind is discretionary according to you versus what necessarily needs to happen once they hit a certain capacity utilization?

Subodh Rai: Thanks for your question. You're right. We have given the debt protection metrics on Slide 17, which is fairly strong. We haven't seen this kind of debt metrics in the last several years. So if you look at balance sheet distance, I think clearly there's en ough space to do the capex. But given the geopolitical uncertainty that is there in the market, it may be one reason why private sector capex is not really picking up the way it can. Operating debt is already high. So if you ask me, the condition is favorable, but I think geopolitical situation is something where people are expecting more clarity, more stability before you see a good uptake in private capex.

Amish Mehta : I think there are areas and I'm just going to add to what Subodh said, I think there are areas like renewables,

there are areas like EV related within auto, the entire battery space. You look at, I think some of the electronics areas, I think there are investments happening. Of course, infrastructure, everything supporting infrastructure inve stment is happening. But for everything else, I think like Subodh mentioned, the current uncertainty in the environment with what will happen with tariffs, the direct impact, indirect impact, how that will play out. I think corporates are looking for clarity and certainty before they would end up committing to, I think, capex finance and going forward with their investment plans. I think that would be one of the triggers, if you were to ask me. Capacity utilization, I think we are hovering around that 75% mark. I think domestic demand remains robust in India. There are enough reasons w hy we believe domestic demand will continue. I think the key question will be the geopolitical uncertainty and what does that mean for some of the industries and the manufacturing requirements that might be there.

Krishnan AS V: Interesting you say this, because I'm just trying to wonder, a lot of these headwinds in terms of tariffs are things that have picked up in the last four months. And yet we have hovered around 70%, 75% of capacity utilization for a much longer period of ti me. It's been nearly 8, 10 quarters or 8 quarters at the very least that we are there. So what's been, I mean, from your conversations with India Inc., what's been holding them back all along? Leave aside the last four months, where I understand these are tariff uncertainties, etcetera, but even in the run -up to this, most corporates have hesitated.

So I was just trying to wonder, is there any insight that you have picked up from your conversations with India as to what is holding back private sector in capex?

Amish Mehta: I mean, I can tell you last year, I mean, one of the key reasons was there were elections across the globe. Different economies, including India, US, some of the major economies were going to have elections. I think that was leading to people waiting and watching outcomes of those, what does it mean, change. I think over a period of time, we have continued to see various events global ly. Before that, there was again the Ukraine, there were other events which are happening. I mean, you had the Middle East geopolitical crisis. So I think there have been events happening over a period of time, which has led to some of this uncertainty. The mo ment I think companies see stability in demand and also they see stability in the environment and policymaking. Our belief with the current balance sheet capability, which is sitting there, funding should not be a

constraint. And I think you will see capex coming back.
Priti Arora: Yes, and maybe to just add to what Amish said, we in fact did an analysis of 8 capex intensive sectors, which almost account for 70% of the annual industrial capex. And you're right, Krishna, that you mentioned that it indicates that the capacity utilization is indeed above the decadal averages and we see that across sectors like commercial vehicles, steel, cement, they're all being linked and are benefiting from the government infrastructure spending.
I think even if I see year on year, so for 24 to 25 and 26 projections, we were seeing that increase. I think we were at the point where like Amish mentioned, some of the uncertainty was settling in. But I think the tariff conversations and what we're seei ng right now is delaying the cycle for at least the next couple of quarters as we see it. But other indicators from a broad macro perspective, including capex and the deleveraging are definitely good momentum areas that we should continue to watch for, because they will definitely help uptime in the private capital.
Krishnan AS V: Great. My second question is to do with the ratings business per se. I mean, this is also relate

d to one of the earlier questions in terms of the -- where are the pockets where we are gaining market share? I mean, there's very clear tendency for corporates to move towards best in class. But where are these pockets that are emerging where you are seeing a migration towards Crisil ? More importantly, given that a bulk of the market is migrating towards Crisil , shouldn't our ratings distribution now reflect, in some sense less of a skew towards AAA and AA?
Subodh Rai: See, to your point , is there a migration to Crisil from other rating agencies, if I'm getting it right? See clearly, there's a preference for best in class ratings. And we do benefit from that. That's where business is concerned. Coming to you, say, the skew of AAA, AA. Skew is there because of the constr uct of the market because if you look at bond market, there's hardly any demand for a paper which is rated in say A to BB category,

etcetera. I mean, practically, the market closes below AA category. So you will always see some skew. Having said that, let me tell you that if I look at overall Crisil portfolio, a couple of years back there was a time when we had median rating if you look at it was in BB category. Now, actually it has shifted to BBB category. So there is, if you look at the portfolio of Crisil in terms of ratings, our current median rating is around BBB. So, skew for AA, AAA to some extent will remain because of the nature of bond market as there's no appetite for papers which is rated belo w AA. But if you look at the overall picture clearly in our portfolio, we are seeing dominance of investment grade ratings.
Krishnan AS V: Sure, thanks. Thank you.
Moderator: Thank you. The next question is from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.
Abhijeet Sakhare : Hi, thank you. Good evening. My first question is on domestic ratings business. Would it be fair to say that over the last two, three years, it's sort of getting more and more towards bond ratings as against bank loan ratings? And if it's possible to give some more color around how's the demand on the bank loan rating side? Are there any structural shifts in terms of lower and lower demand for external ratings there?
Subodh Rai : So, I think, to your point in terms of bond market and bank loan market, I think both are growing. That's number one. So, we are seeing growth in both the markets. Now, if you come to the number of companies rated. Bond market side I mean, there's a fair bit of stability. We are seeing more and more companies accessing the bond market. Particularly in the infra space, we have seen a lot of movement. There are a lot of new players from the i nfrastructure sector who ha ve come to the bond market.
If you look at bank loan, at the lowest end of bank loan where typically you have very, very small clients. We have seen that some of the banks have decided that at a really low end like INR 5 crores, INR 10 crores, they may not need a rating. And it's not a trend across the board, but in some cases we have seen.
But purely if you look at high level, if I look at industry's revenue, despite some erosion at the lowest end of the spectrum. In bank loan rating , industry's revenue is consistently growing. If you look at last year, it grew at double digit. And if you look at listed companies' revenue this year also, I'm talking about CY24, the growth has been pretty strong.
Abhijeet Sakhare : Subodh, just a follow up, if you could also comment on the pricing aspect of the entire industry as well, especially on the bond market side.
Amish Mehta : I think we don't comment on pricing of the players. I think this has remained more or less in line with what has been the trend. The market is competitive. And I think the

pricing remains in line with what we have seen in the past.

Abhijeet Sakhare : Got it. And on the GAC piece, you indicated, Amis

h, that there are new areas which
have opened up with S&P. If you could provide some more details as to which are these
areas and what do you think is the growth runway for the next two to three years?
Amish Mehta: So here, see, I mean, I think, like I mentioned, we are looking at creating centers of
expertise for some of the areas where Crisil , has got its strength. So on the analytical
side, research, like I mentioned, data analytics support, technology transformation,
program management, I think we are trying to create an opportunity. You are aware
that S&P already has, right, their businesses also have support which happens from
India. They've got teams i n India.
So I think we are trying to find our competencies and where we can play to our strengths
and trying to see how we can gain business from S&P on those strengths that Crisil has
a right to win. I think that is where we are working on. We are trying to build that up. I
think, how we are able to build that, what are the projects, what are the initiatives, I think
that is what will determine the scale of the opportunity as we go forward. So I don' t think
we have any forward -looking statement in terms of what should be the target. I think,
as you know, we have put an aspirational number for ourselves in the AGM for the
revenue that we would want to pursue.
So I think that is what we would like to, you know, pursue from an intent perspective.
How that plays out over a period of time, our ability to be able to demonstrate that value,
I think that is going to be important.
Abhijeet Sakhare : Got it. Then the next one is on Gen AI. Still early days, but if you could comment on
what does it mean in terms of business outcomes for Crisil as a company in terms of
demand for these type of engagements and how does it impact your legacy or your pre -
existing work in terms of demand for people and engagement levels there?
Amish Mehta : So I think Gen AI, see it has accelerated adoption. I mean, as I mentioned, across
various industries, right, there are a lot of POCs which are being done. We see a lot of
POCs being done across various companies and organizations, but we are yet to see
widespread adoption of Gen AI in finance.
So I think as far as Crisil goes, we are looking at the evolution of Gen AI, large language
models, both as an opportunity and in terms of how we can leverage that for efficiency
and effectiveness. So we look at efficiency, we are looking at deploying AI to enhance
the operational e fficiency of our internal processes in the organization where we can,
right, where we have the ability to look at areas where we can leverage Gen AI.
I think the second is from effectiveness to invest in AI offerings, which will help our
clients either in their AI journeys themselves or in AI -led products. And I think I gave
some examples or I think some of my colleagues spoke about some examples of how
we are leveraging Gen AI.

So like in, we have incorporated Gen AI capabilities in our CREDIT+ ICON , which allows
us to, which enables credit analysts to generate draft summaries of credit reports. This
is based on financial data and analysis reports. In addition, we have put a natural
language query feature, which has been added to one of our offerings, Fulkrum, which
is a business intelligence platform. And I think some of these enhancements help t o
elevate the value of the proposition of our products. In some cases, it improves the user
experience for data analytics. And, I also mentioned that on one of our global
businesses, we are using Gen AI to create credit reports, which are then being used by
our clients.
So I think, we're trying to see how we can leverage Gen AI across our products,
incorporate that as a capability and enhance the capability of those products and
offerings, and also leverage it as a tool, which we can then see the value of that for the
workflows

that we might be using, and how we can, try and leverage the value of Gen
AI, both internal and external. So this is a technology which we are, which is evolving.
And I think we are trying to see how we can embrace that to generate value for
ourselves.
Abhijeet Sakhare : And sorry for one more follow up on this question. Any areas where you think it's a

potentially material risk in terms of demand for work from clients?
Amish Mehta: I think, and I, if I remember right, I had spoken about this last year as well. I think one of the things which Crisil does, because of our domain expertise and our core capabilities, we operate in areas which are much more domain specific, right? There could be some parts of that, which could have the ability of Gen AI being leveraged, but it is not something that will completely, you know, I think take over the work that we are doing, unlike a lot of the other maybe process organizations which might be working on at scale.
I think in our case, there could be areas where we can actually leverage Gen AI, and that becomes an opportunity for us. Because , with the core expertise, if you're able to add Gen AI capability, you actually are creating a lot more opportunity for yourself as an organization to partner with clients, because that's the capability which they are looking at. I think that's how we are seeing the entire space.
There are areas, like I mentioned, that, like on data, I mean, a simple example, data extraction. You know, there are tools which are being looked at, there are LLM models which are there, but how do you use that LLM model for specific use cases on, let's say, credit, or areas that we operate in ; I think that expertise, that ability, is what is the key differentiator for somebody like us.
Abhijeet Sakhare : Got it. That's very helpful. And just the last one. In the past, you indicated that both your businesses have levers for margin improvement. Any fresh update on that comment, please?

Amish Mehta: Sorry, which businesses? I mean, okay, let me just say an overall intent that I will play out, that as an organization, as a leadership team, as a company, our strategy is to grow profitably. We will always focus on driving growth across all our businesses and continue to maintain and grow margins. I think that is the way we think about all our businesses, and we believe there is an opportunity to drive that across all our businesses. And that value could be, like, getting more customers, could be better premium pricing, right, being more efficient i n our operations. It's a combination of all, but our intent is always to grow profitably.
Abhijeet Sakhare : Thanks so much.
Moderator: Thank you. The next question is from the line of Pritesh from Lucky Investments. Please go ahead.
Pritesh: Yes, sir. My question pertains to the India Ratings business. So, in the last 12 months, are there any pricing actions in the bank loan rating market and the bond rating market? And if you want to quantify or highlight it so that we get a better idea in te rms of the volume and the pricing that grows?
Amish Mehta: I think, like I mentioned, that we continue to drive all our businesses to grow profitably, and that would include looking at better pricing, better premium pricing, better value to our clients. I think, each of our businesses will continue to evaluate opportunities and see how they can increase pricing from our clients.
Pritesh: Okay. Will it be possible for you to share the volume growth in the business?
Amish Mehta: So, we don't disclose the numbers, those numbers publicly.
Pritesh: Okay. My second question is, last 12 months have been a case where the risk rates were higher, and some of the financial institutions, had a stable rate regime. Financial institutions heading to bond markets for borrowing. With the lower risk rates now and falling interest rates, does the structure o

f the rating industry change a bit in terms of
the growth direction, or there are any other levers where the structure remains intact?
Subodh Rai : First question about the change in risk rate. I'm assuming you're referring to NBFCs , where RBI has kind of reduced the risk rate ?
Pritesh: Yes.
Subodh Rai : So, I think, if you look at overall industry level, as I said in my presentation, it can be one of the post -typicals for NBFCs. And we have to see how bank lending actually moves there, because NBFCs are facing asset quality challenges in certain segments. So, there may be some benefit, but whether it will go back to the previous level. It's something that we have to monitor.

As far as rate cuts are concerned, what we have seen traditionally is that whenever rate cut happens, we see greater activities in bond market. If you look at 10 -year G -Sec, it is already below 6.5%. So, it may translate into, superior spread for AA and AAA papers, and that can be a kicker in the bond market. So, we have to see. And we are expecting more rate cuts, as I said earlier, that we're expecting 5 0 bps rate cut in fiscal 2026 here onwards. So, we do believe that there may be some positivity in the bond market.

Pritesh: Okay. So, between the last 12 months and the next 12 months, do you see the structure improving in terms of growth for the rating agency in a nutshell, or do you see the structure enabling a similar growth rate for the rating agency? So, it's a directional quest ion without a number in mind.

Amish Mehta: I think there are a couple of things. One is, like, we mentioned the entire credit growth, the growth of the economy. I think the interest rate going down should facilitate, like Subodh mentioned, the bond market fundraising. However, again, fundraising will depend upon requirement and the activity level. So, I think it's very difficult to comment, which way things might play. I think if there is demand for fundraising and with the interest rate going down as the economy does w ell, geopolitical uncertainty stabilizes, I think we should see an environment which is positive. I mean, I think that's as simple as that.

Pritesh: Thank you.

Moderator: Thank you. The next question is from the line of Akhil Gulecha from Ho rnbill Capital. Please go ahead.

Akhil Gulecha: Hello, and good evening to everyone. My question is on the Research , Analytics and Solution division. So, we've had negative growth last year in 2024, and the first quarter as well, the growth has only been 2%. So, while I understand that there are tariffs and a lot of the discretionary spending is not in your hands directly, how do you see this division going ahead in 2025 or 2026? Do you see the challenges continuing? Do you see it turning around anytime soon? How are you seeing it?

Amish Mehta: I think, like I mentioned, so one is, we don't give a forward -looking view, but let me give you the color of the opportunities that we are seeing across our businesses in the Research segment. I think Priti, Duncan, and Gurpreet called out the areas of opportunity.

I think from an India perspective, both on the data and research side, I think we continue to see opportunity to drive growth from a demand from our clients and the work that we do. The challenge could be in case there is a slowdown in investments and if the growth slows down given the uncertainty, I think that could be a challenge. But the opportunity is in those, even in those times, the demand for data and research continues, and w e

have seen that during COVID times. I think Crisil as an organization has the ability to leverage, some of these, I would say, events, even if there is a slowdown.

On the global side, Duncan spoke about benchmarking, and again, I would say that, you know, with the global uncertainty on the investment bank side, there is demand for benchmarking, right , I mean, ba

nks want to know what's happening, what is the impact.

I think demand for services in, you know, Global Benchmarking again continues in an environment which is volatile.

The third part of our business, which is the global Integral IQ, and I think, again, both me and Gurpreet shared the areas of growth that we are focusing on. This is a business where, yes, the discretionary spends or the slowdown might have an impact given the clients, right? I mean, and how they approach th eir spends on areas of work that we do. I think how that will play out and what could be an impact and how, you know, how are we able to focus on our growth areas and be able to build that pipeline to drive growth in that business ; I think that could be something which we will continue to monitor and drive going forward.

So I think if you ask me, the focus of the businesses as a strategy, as an organization is to drive growth, look at the white spaces, look at areas of opportunity, focus, build pipeline. We have invested in sales teams, we are investing in building produc ts and solutions, right , and I think that is what our focus as an organization is.

Akhil Gulecha: Okay. Got it. Thank you so much. I'm sorry to repeat this again. I know a couple of analysts already spoke about this, but the growth in the India rating business is really sort of surprising because this 30% number, it's a number we've rarely seen in the history of the company, as well as the industry, as well as the competitors' numbers. So something drastically must have changed because you've grown 30%, 20%, and then 32% again for three quarters now. So has the market share been that drastic that the other companies, that when the industry is growing 10%, 12%, you're going 30%? Somethin g does not add up here.

Amish Mehta: I think we should look at annual revenues is what I would say. If you look at last year, full year numbers, right? We look at the annual revenue and there is growth across both parts of Rating s Services segment. Like we mentioned, the Global Analytical Center, the work that we do for S&P Global is also part of that, of that portfolio and the work that happens, the rating, domestic rating side. We continue to see opportunity. I think we continue to drive growth across both those businesses. We continue to differentiate ourselves with the work that we do, the relationships that we have. I think that is what I would say. And I would also add, I mean, I think somebody mentioned earlier, is this the best ? I would say the best is yet to come. I am a firm believer that I think we are going to continue driving the opportunity.

Akhil Gulecha: Okay. Understood. Thank you so much and best of luck.
Moderator: Thank you. The next question is from the line of Anuj Sharma from M3 Investment. Please go ahead.
Anuj Sharma: Yes, thank you so much. My question is on the new brand identity. Is this a classification only for branding or it will have a P&L and hence monitoring and target settings for each of these identities?
Amish Mehta: I think this is something which we have embarked, like I mentioned to demonstrate one enterprise, the value to our clients, the connectedness of the brands and the businesses, sorry, the interconnectedness of the businesses that we have to our clients and being able to tell the, you know, the story of Crisil and the story of our businesses in a very, very powerful way to our clients. That is what we will be leveraging the entire brand, the launch that we have done. So, this is about repositioni ng.
Anuj Sharma: Okay, but would we be having a P&L for each of these brands?
Amish Mehta: So, these businesses are anyway classified and those are classified in the segment. We monitor all the businesses. That is what I spoke of. So, each of us spoke about the businesses. So, we monitor these businesses very closely.
Anuj Sharma: Okay. My second question

is, see, over a period of time, the organization has grown and complexities have increased. But if you look at the reporting structure, that seems it has not evolved basically and it's sort of leading to information asymmetry and opaqueness. And I think as the complexity increases, the opaqueness between the management and the shareholders will only increase. So, any roadmap the board or the management has to maybe remove the asymmetry between what the management and the shareholders see?
Amish Mehta: I think I would say any suggestions that you might have, please feel free to share with Dinesh o ur CFO. We will continue to look at it. I mean, I think our intent is to share as much information in our balance sheet.
We try to cover in our management disclosures, right , even in our analyst call, in the analyst presentation that we do, keeping regard to the requirements that are there and also from a competitive landscape information that we are able to share. But we'll be happy to take any feedback.
I think the intent is always to have a meaningful disclosure so that, you know, I think analysts and the stakeholders are able to understand what we do. That would be our intent. So, we'll be happy to take any feedback that you might have.

Anuj Sharma: Yes, no, just one point and then I'll ask a question. See, a credit rating agency should actually remove information asymmetry. And as I see, the asymmetries are only increasing. So, that's my point, but I'll take it offline.
My second question is, if I look at geographical breakup, the rest of the world seems to have done a little better at 16.8%. I don't know if that's a true representation again, but what is happening in the rest of the world? Can you just share some light o ver there?
Amish Mehta: So, you're talking about the revenue breakup by geography, right?
Anuj Sharma: That's right. That's right. Yes. And this is CY '24 over CY '23 in the annual report here?
Amish Mehta: So, I think, like I mentioned, I think, we have a portfolio of businesses that we operate in. And, right, I mean, some of our businesses are global with global clients. So, I think, depending on, you know, which business grows, I think that that is a refle ction of the growth of some of the businesses that we might have. I think our strategy is to grow every business profitably. I think that is how we work.

Anuj Sharma: But some more details into what exactly is happening in the rest of world, which service, which segment is doing well, some light into that?
Amish Mehta: I think, like we mentioned, that the Coalition Greenwich business , which is, you know, is a business which has done well. I think that is one of the key drivers that you are seeing out there.
Moderator: Thank you. The next question is from the line of Rakesh Kumar from Valentis Advisors . Please go ahead.
Rakesh Kumar: Hi, sir. Thanks for taking the question. So, you know, I would like to get your opinion on the four pointers. So, that is, again, with respect to the corporate capex program. So, firstly, like, you know, what is your view on, you know, the corporate cash balance and short -term investments as a percentage of the total asset? So, how that is moving and thereby impact on the, you know, probable capex that we are looking at?
Second is the total loans under resolution in NCLT and NARCL or all the ARCs, basically, we can consider, where, you know, the interested corporate can bid for. And therefore, there is a, again, lower probability of the fresh capex.
Third point is basically the banking system LDR position and the ability of banks to lend for the corporate capex.
Fourth point is basically the RBI revised guideline on the STM investment book with respect to the inclusion of non -SLR in the investment, STM investment. So, these four pointers, you know, what is your opinion on all this, each of these four pointers with re

spect to capex? If we can throw some light?

Amish Mehta: If I understand correctly, you are talking about the external capex.
Rakesh Kumar: Yes, correct. So, corporate capex and related, our, rating revenue improvement. So, I was coming from that, perspective. So, like, the corporate capex, is there. But, you know, if you look at the cash balances and the short term investments, that number i s pretty healthy right now as a percentage of their total corporate assets. So, because that number is, RBI publishes that number.
So, I was looking at that number and just trying to understand that would really corporate will, demand the loan because the income accruals are quite high right now?
Subodh Rai : Yes, I think two parts to it, I think on private capex, we have answered. I mean, it's a very complex play of multiple factors. If you look at balance sheet, clearly, it looks like they are ready. If you look at operating group, it looks like they are read y. But if you look at the overall business environment, given the geopolitical situation, tariff situation, it's slightly complex.
Just to your point, whether corporates have more cash and short -term loan today with them and whether they will take lesser loan, this is a possibility. Because if I already have cash and short -term loan and I'm going to do a capex probably rather than leveraging it fully, I may only part leverage.
We have also seen, most corporate talking about having lesser leverage, having cleaner balance sheet in terms of debt, having lesser debt. So to that extent the assumption you are stating seems appropriate to me that if I have a lot of cash, I have a lot of short term resources on my balance sheet, there's a possibility that I'll take lesser amount of debt.
Rakesh Kumar: Sure. And the second point with respect to the loans under resolution in NCLT, because interested parties and interested corporates can bid for that. And therefore, again there is a lower probability for the first capex?
Subodh Rai : What we have seen in the last couple of years, corporates are more inclined towards brownfield expansion, acquisition and taking assets from NCLT. That can be one of the reasons why we are seeing lesser capex. If such opportunities are available, I do believe that corporates are going to leverage those opportunities.
And will that affect, it all depends on opportunities. We have seen that happening in the steel sector, in the cement sector. We have seen a lot of acquisitions has happened. But it's not as if these opportunities are available across sectors. In select s ector s, these opportunities are available and corporates are leveraging on it. So if such opportunities are available, I do believe that corporate will be exploring those opportunities as well.
Rakesh Kumar: No, but the thing is that -- the realization of the recovery rate for banks is so low that, corporates are buying the same kind of assets at much lower price, much lower price.

So that is why, the demand for the first debt that they would raise is much lower. So if
you look at cumulatively that picture, so to that extent that demand comes down,
demand for the debt from the corporate, whosoever is bidding for it?
Subodh Rai : So yes, I mean, that is always a possibility. Like I said, it all depends on the availability
of assets. And what is the strategy of a particular corporate.
Rakesh Kumar: And third point with respect to the LDR position, because that is like, we are at the 17,
18 year high at 81% LDR. So how would, bank actually lend for the corporate capex, if
it has to happen through the, through the loan not through the credit substitute ?
Management: Amish, so I think if you look at the loan -to-deposit ratio or the credit -deposit ratio, that
has gone up in the past two years because the deposit growth has trailed the credit
growth. But if you look at the last three years

or so, a couple of years back, the
difference in growth was 500 basis points between the two. Last year it was 300 basis
points, and now it is around 100 basis points and deposit growth, the gap between the
deposit growth and credit growth.
If you look at the environment in the next year or so, the current fiscal, with the interest
rates coming low and the liquidity situation also improving, if you look at till March, the
liquidity situation was very tight in the system. RBI has infused liqu idity, and if you look
at their staff, it is more accommodative now, and they seem to be wanting to ensure
that liquidity is there.
In that environment, we believe that the difference between deposit growth and credit
growth will not be very substantial in the days ahead. The environment for deposit
growth will become more benign. So in that context, we don't see the loan -to-deposit
ratio go up too much from here on. And the difference between that credit growth and
deposit growth will be more or less where it is. So that would mean that the 12% to 13%
credit growth we are talking about, that banks should be able to achieve this fiscal .
Rakesh Kumar: And sir, the last pointer with respect to the revised guideline on the STM investment
book, where non -SLR inclusion is possible. So would banks raise some kind of debt,
Tier 2 capital or something like that, or maybe Tier 1 capital, and then lend to corpo rate
if there is a demand for corporate capex ? So is that possibility there, or is your opinion
on the same?
Management: That possibility is always there, but the extent will be limited. You see how much Tier 2
a bank can borrow vis -a-vis deposits. That number is not very high. To some limited
extent, it may be there.
Rakesh Kumar: Sure. Got it. Thank you, sir.
Moderator: Thank you. The next question is from the line of Madhu Gupta from Quantum Asset
Management. Please go ahead.

Madhu Gupta: I just have one question now. SEBI has come out with very strict guidelines where credit
rating agencies have been asked to monitor the end usage of capital which is being
raised by companies. They are also asking CRAs to analyze companies as to their trac k
record while raising equity. So how do you think these kind of regulations, will they affect
your business processes, and any impact of any growth rate going ahead because of
these guidelines?
Subodh Rai : So first of all, let me state the facts. As of now, we have not received any particular
guidelines from SEBI. These are the reports we have read. As far as the product you
are referring to, this is MA product. The methodology for this product is established in
consultation with SEBI when this product was introduced. And in case if there is any
change in guidelines, methodology, etc., we will evaluate at that point of time.
Madhu Gupta: So right now, they are just taking feedback. I mean, there are no guidelines as such
from SEBI as far as the domestic rating business. I mean, these guidelines are not for
the domestic rating business. They are just getting feedback right now. That's what we
need to say?
Subodh Rai : SEBI as a part of our process, not only for this product, across numerous things, they
are always in consultation with rating agencies and the Association of Rating Agencies
called AIRA. And a number of points, these are feedback. And as a rating agency, w e
always wait for final guidelines to comment on either on impact or if there is any change
in methodology, etc.
Madhu Gupta: Got it. Thanks.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I will now hand
the conference over to Mr. Amish Mehta to conclude session.
Amish Mehta: Thank you, everybody, for patient hearing and asking your questions. Like I mentioned,
I think we continue to monitor the environment and I think our strategy is about driving

growth profitably. If there is anything that you woul

d want to ask or know, plea se feel
free to reach out to Dinesh at CFO. We will be happy to address any queries that you
might have. Thank you very much.
Moderator: Thank you, sir. That concludes the call for today. Thank you, everyone, for joining us.
And you may now disconnect.

Call: Apr 2026

April 24, 2026

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Dear Sirs,
Sub.: Analyst Call Transcript

Pursuant to Regulation 30 read with Part A of Schedule III and Regulation 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosing herewith transcripts of the Analyst Call held on Monday , April 20, 2026. The transcripts are also available on Company's website at https://www.crisil.com/content/crisilcom/en/home/investors/analyst- hub.html

Kindly take this communication on record.

Yours faithfully,
For C risil Limited

Minal Bhosale
Company Secretary
ACS 12999

Crisil Limited
Analyst Conference Call
April 20 , 202 6

Management: Amish Mehta
Managing Director & CEO , Crisil Limited

Gurpreet Chhatwal
Chief Operating Officer, Crisil Limited

Dinesh Venkatasubramanian
Chief Financial Officer , Crisil Limited

Sanjay Chakravarti
President - Risk & Compliance , Crisil Limited

Subodh Rai
Managing Director, Crisil Ratings Limited

Priti Arora
President & Business Head , Crisil Intelligence

Duncan McCredie
President & Business Head , Crisil Coalition Greenwich

Suprabha AD
President & Business Head, Crisil Integral IQ

Moderator: Good afternoon, everyone and a warm welcome to Crisil's Analyst Call 2026. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during t he conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
Before we start, as a standard disclaimer from Crisil, we would like to state that certain forward -looking statements during our interaction today are based on our current understanding of the company profile and market conditions. These are subject to change based on changing policies of the company and macro environment. The company does not undertake to update the forward -looking statements or other information contained in the presentation, whether as a result of new information, future events or other wise.
As a policy, company refrains from giving specific quantitative guidance on its future performance. Further, in the interest of fair disclosures to investors, operational details relating to specific business segments, customer contracts will not be possi ble to be disclosed.
I would now like to introduce you to the speakers of the call today. Amish Mehta, Managing Director and CEO, Dinesh Venkatasubramanian, Chief Financial Officer, Subodh Rai, Managing Director, Crisil Ratings Limited, Priti Arora, President and Business Hea d, Crisil Intelligence, Duncan McCredie, President and Business Head, Crisil Coalition Greenwich, Sanjay Chakravarti, President, Risk and Compliance. Let me now hand over the call to Mr. Amish Mehta to commence the proceedings. Over to you, sir.
Amish Mehta: Thank you. I hope I'm audible.
Moderator: You are. Loud and clear, sir.
Amish Mehta: Hello everyone, and a very warm welcome to each one of you. Trust all of you are doing well. I am pleased to share that during 2025 and in the first quarter of 2026, we have delivered growth amid a dynamic macroeconomic environment. Our customer -centric approach and doma in-led solutions have enabled us to drive meaningful impact for our clients, aligning with our purpose of making markets function better. Our core values of integrity, excellence, partnership, and discovery give us a winning edg e in the market.
Let me begin the presentation by loo

king at Slide 4. Our journey began in India as
India's first credit rating agency. This year we are entering our 40th year of operations, and over that journey, we have continued to expand our strategic and analytical fo otprint both in India and globally. We are one of the world's leading providers of insights -driven analytics, helping financial institutions, governments, enterprises, and multilateral institutions make mission -critical decisions with confidence.

If I move to Slide 5 and looking at the geographic expansion, we've added a new geography, Canada, followed by our acquisition of PriceMetrix, a Toronto -based organization. And this strategic addition enhances our wealth management capabilities in this imp ortant space of wealth, which is growing. Second, our culture and talent remains a key differentiator.
As reflected in our external recognition, we have been certified a Great Place to Work in India for the sixth consecutive year and were named amongst India's best workplaces for women in 2025. During the year, we earned 26 industry recognitions, including 20 from Chartis. We were ranked number 20 and category leader in RiskTech AI 50 2025.
Third, our scale and client mix underscore the trust we have built through a customer - first mindset. We serve 11,400 -plus clients in 40 countries globally, including India's leading banks, NBFCs, majority of the top AMCs, and most of the global corporate investment banks around the world.
Let me move to Slide 7 and talk a little bit about the key trends in the macro and business environment. Starting with the Indian economy. The growth and resilience of

the Indian economy continue to offer opportunities for our businesses. Crisil expects India's GDP, Gross Domestic Product to grow at 7.1% in the base case for this fiscal, compared with 7.6% in the last fiscal.
We see increasing downside risk to our base case with the current ongoing conflict. If the current West Asia conflict and disruption prolongs through April, we expect the GDP growth to slow to 6.8% this fiscal. On the inflation front, we project an averag e of 4.5% in Fiscal 2027, with the potential to touch 4.7% depending on the duration and the impact of the conflict. And finally, the Rupee has been under pressure. This is a result of capital outflows amid global market turbulence and the escalation in We st Asia.
Just coming to the global outlook, the global economy is navigating a complex environment. We forecast global growth to moderate to 3.2% in 2026. Against this backdrop, the US economy is expected to remain resilient, growing to 2.2% in 2026. This is suppo rted by its energy independence, strong domestic consumption, and investment, particularly in the area like big tech and AI.
The environment has direct implications for our clients. Large global banks are expected to deliver growth in first quarter of 2026. We've already seen some results, record numbers, driven by robust markets and investment banking performance. Asset manage rs are continuing their strategic focus on high -growth areas like private markets and client experience solutions.
With that, let me turn to our performance update on Slide 9. Our performance reflects the strength and diversity of our businesses and is a testament to our unwavering focus on customer centricity. Our portfolio reflects the growth across various segments that

we have. We've grown our client footprint in West Asia and elsewhere in Asia. We won new mandates in strategic areas to drive growth and completed the acquisition of PriceMetrix to deepen our presence in the wealth management space.
We continue to strengthen competitiveness by building domain -led products and implementing generative artificial intelligence solutions. These initiatives enhance client experience, sharpen insights, and improve efficiency, and I will cover this in more d etail in one of the l

ater slides that we have during the presentation.
Finally, our people remain our most valuable intellectual capital. 5,000 -plus experienced professionals, their deep domain expertise, amplified by our growing digital foundation, enables us to turn data into actionable insights and measurable impact.
To conclude, our focus remains sharp on increasing wallet share in our core markets and expanding into adjacencies, new client segments, and geographies, while continuing to invest in Gen -AI, digitalization, and future -ready talent. With that background, let me hand it over to Dinesh, CFO, to take you over to the financial performance in detail. Over to you, Dinesh. Thanks.
Dinesh V.: Thank you, Amish. Good evening everyone, and thank you for joining us today. Let me briefly walk you through our financial performance for the full year Financial 25 and the first quarter of 26. I am on Slide 11 of the presentation. Starting with the topl ine, our income from operations continues to demonstrate healthy momentum. For Financial Year 25, our revenues grew by 11.9% year -on-year, reflecting broad -based performance across all businesses. The momentum has strengthened further in Quarter 1 FY26, with revenues up 30.1% year -on-year, aided by both underlying business growth as well as certain timing effects that I will touch upon shortly.
Moving to profitability, our profit before tax increased by 12.4% in full year 25, indicating disciplined cost management alongside continuing to invest in our growth agenda. In Quarter 1 FY26, our profit before tax grew by 35.7% year -on-year, supported b y operating leverage resulting in improved margins. At the profit after tax level, we delivered a 12.6% growth in full year 25 and a robust 45.9% growth in Quarter 1 FY26. Again, all these numbers reflecting the strong operating performance in the quarter.
There are two specific items in Quarter 1 FY26 that I would like to call your attention to for better context of the numbers in Quarter 1. First is foreign exchange movements. Quarter 1 FY26 includes a foreign exchange gain of INR14.4 crores compared to a loss of INR5.2 crores in the first quarter of the corresponding quarter last year. This has had obviously a positive impact on our quarter -on-quarter profitability.
Second, I think the accelerated closure of renewals in one of our global businesses has led to incremental revenues of approximately USD4.5 million in quarter 1 FY26 when

compared to the same quarter of last year. As mentioned, this is largely a timing effect, and we expect this to normalize over the course of the rest of the year.
On shareholder returns, I would also like to highlight that the Board declared an interim dividend of INR9 per share in quarter 1 FY26 compared to INR8 per share in the same quarter last year. Overall, the numbers on this slide underscore strong operation al execution, margin resilience, and expansion while remaining mindful of normalization effects that I outlined earlier as we move through the year.
With that, I now hand over to the next speaker, Mr. Subodh Rai, who will take you through the ratings segment performance. Over to you, Subodh.
Subodh Rai: Thank you, Dinesh, and good afternoon, everyone. I am Subodh Rai, Managing Director of Crisil Ratings Limited, and I shall be taking you through the segmental performance of rating services for calendar year 2025 as well as Q1 2026. I'm currently on Slide 13, which highlights the key growth drivers for the credit rating industry in India. First, let's discuss the bond issuances quantum. Despite a brief surge in Q2 2025, the growth in bond issuances was flattish in calendar year 2025 as the yields had hardened in the second half of the year.
In Q2 2025, the bond issuances grew by 64% on Y -o-Y basis driven by few large bond issuances. However, from Q3 2025 onwards, the geopolitical and trade uncertainties led by US tarif

f actions on India resulted in hardening of yields. Additionally, banks offered lucrative rates to large corporates, leading to a substitution of corporate bonds with bank loans by many large corporates. This led to a decline in bond issuances in the second half of calendar year 2025, which offset the Y -o-Y increase in the first half, resulting in flattish growth for the year.
In Q1 2026, the bond issuances declined by 12% on Y -o-Y basis. The West Asia conflict, which began during the quarter, heightened the global macroeconomic uncertainties, which negatively impacted the business sentiments. The escalating conflict has also o vershadowed the optimism from US -India trade deal announcement in early February. The 10 -year government securities yield rose sharply to nearly 7% mark in March.
The impact of West Asia conflict reflects in India's manufacturing PMI, which plummeted to 53.9 in March 2026, marking its lowest level since June 2022. A continuation of heightened uncertainties can deter corporate investment, thereby affecting their borrowing plans.
On the other hand, the bank credit growth showed some improvement at 14.5% on Y -o-Y basis as on February 2026 versus 11.1% as on February 2025. This is driven by pickup in both wholesale and retail credit growth. The wholesale bank credit growth improved to 15.1% as on February 2026 versus 9.8% as on February 2025.

The credit to industry segment has expanded to 13.5% as on February 2026 versus 7.5% as on February 2025. This is largely driven by credits to MSMEs. The credit to service segment has expanded to 16.3% as on February 2026 versus 11.7% as on February 2025. This was largely driven by credit growth in NBFC segment.
A small caveat to note is that the bank credit growth figures from December 2025 onwards are not strictly comparable on a like -to-like basis with prior periods due to change in reporting ended by RBI. We expect the bank credit to grow at around 13% in fiscal 2027, driven by healthy growth in MSME and retail segment, as well as the continued preference of corporates for bank credit rather than issuance of bonds due to the prevailing interest rate differential.
Moving on to Slide 14, which shows the rating services segment performance for calendar year 2025 as well as Q1 of 2026. For calendar year 2025, the domestic ratings revenue benefited from strong growth in surveillance fee and continued momentum in the mi d-corporate segment.
For Q1 2026, the growth is supported by strong traction in both surveillance fees as well as new ratings revenues. The growth in new rating revenues is aided by continued investor preference for Crisil Ratings. We continued our focus on client engagement initiatives and further strengthened our thought leadership, which is measured by the share of voice amongst the domestic rating agencies.
The Global Analytical Center division saw growth from new engagements and robust surveillance work delegation from S&P Global Rating Services. Overall, the rating services segment grew by about 20.2% on Y -o-Y basis in the first quarter of 2026. I will now pass on the proceedings to my colleague, Priti Arora, who heads Crisil Intelligence.

Thank you.
Priti Arora: Thank you, Subodh, and good afternoon to everyone who's joined in. Let me start with Slide 16 and provide a little bit macro context to our business. So if we see over the last five years, the India's banking sector has seen a sharp and sustained improvem ent in the asset quality, as you can see on the left -hand chart.
The gross NPA ratios which were elevated at 7.5% in FY21 amid COVID disruptions and legacy corporate stress have steadily declined to about 2% by FY26. Now, this has been driven by many factors; the IBC -led resolutions, the tighter underwriting, structural shift towards retail portfolios alongside corporate deleveraging, reducing the incidence of large ticket stress.
We

expect the incremental slippages to remain contained and the credit costs to stay near cyclical lows through the unsecured retail and the MSME books that will remain to be a key monitorable. Like Subodh and Amish mentioned, I think one of the key extern al swing factors is the ongoing Middle East situation, which can affect the cycle primarily

through the crude -led inflation, the supply chain disruption, the higher logistic costs, and the global demand uncertainty.
The prolonged elevated energy prices could pressure borrower cash flows and raise stress risk in the select retail and MSME pockets and sectors which have significant dependence on crude, crude derivatives, and natural gas as inputs. However, the overall system resilience remains strong and banks are expected to keep their gross NPAs in check at about 2% to 2.5% by the end of March 2027 compared with a historical low of an estimated 2% as of March '26.
When we look at the India mutual fund industry, that's also recorded a robust AUM growth over the last eight quarters, reflecting deeper financialization of household savings. The industry AUM increased from INR55 lakh crores in Q1 2024 to about INR83 lak h crores in Q4 2026, as you can see in the chart. That's again supported by equity market performance, higher retail participation, and the sustained SIP flows. Some moderation has been visible recently amid the market volatility and a more cautious invest or stance.
If we move to the next slide talking about the corporate balance sheets. Now India Inc deleveraged meaningfully from FY20 to FY25, with aggregate net debt to EBITDA improving for a sample of 900 -plus listed companies, which almost form 55% of the listed m arket cap, as you can see on the left -hand chart. The leverage which peaked in FY20 due to the weak earnings, but the recovery phase saw strong EBITDA growth and debt reduction through internal accruals. Several sectors, including metals and cement, report ed multi -year low leverage by FY24.
We estimate the corporate profitability to remain almost flat in fiscal 2026 and decline by around 100 basis points in FY 2027, primarily impacted by the West Asia crisis - related disruptions. However, with a decadent low leverage and the healthy debt - servi cing ability, this is unlikely to significantly debt the corporate balance sheet.
Lastly, when we look at the utilization that has sustained at about 74% in FY26, with capex in core manufacturing such as steel and cement, it is unlikely to become broad - based in the near -term given the global headwinds and uncertainty.
Importantly, the 70% to 75% band has persisted for a long period. Hence, the more relevant green shoots are in the PLI -supported sectors and the new -age segments where the project announcements and execution momentum are clearly visible.
Emerging sectors such as electronics and components, semiconductors, batteries, and EV manufacturing alongside select traditional sectors will continue to drive capex.
Export -driven sectors and sectors dependent on global supply chains are likely to see caution before committing large -scale fresh investments. With that broader context, let me now hand over to my colleague Duncan to take it further. Thank you.

Duncan McCredie: Thank you, Priti. Hello, I'm Duncan McCredie, President of Crisil Coalition Greenwich.
I'm going to outline the key trends in the global corporate and investment banking sector through 2025 and a business update on Crisil Coalition Greenwich. I will be re ferring to Slide 18 of the analyst presentation.
Global revenue pools in CIB were up in 2025 thanks to good performances in global sales and trading, equities, and fixed income, as well as primary capital markets. While

Liberation Day tariffs temporarily froze the primary capital markets, there was an upward trend from the end of Q2 onwards. The markets saw a marked increase in la

rge
and cross -border M&A deals. Primary capital markets issuance saw strong activity with the backdrop of buoyant secondary markets.
Fixed income divisions of banks saw strong performances year -on-year as well, with increased volatility stemming from Liberation Day and continuing all the way through the year, primarily driven by macro trends. Equities divisions also saw strong performa nces year -on-year, led by buoyant markets in all regions, especially in tech and AI stocks.
Banking activity was marginally down due to higher for longer interest rates. While we saw marginal increases in trade in some regions, cash management businesses were impacted by deposit margin squeeze. Overall, returns on equity saw a positive trend thanks to IBD and global markets businesses.
Crisil Coalition Greenwich saw good momentum in our corporate and investment banking business, with scaling of product offerings and positive client engagement from large commercial banks strengthening our demand for our products.
We also saw good growth from regional banks across Europe, Middle East, and Asia.
As we look to maintain our growth trajectory, we continue to invest in our offerings in new and adjacent market segments such as wealth management and regional banking.
In Q1 2026, we've continued to be able to secure contract renewals and win new business.
Strong Q1 revenues benefited from accelerated revenue recognition, thanks to a combination of having secured more multi -year contracts through 2025 and a focus on agreeing new contracts and renewals earlier this year. Let me now hand over to Dinesh to cove r the segment financials.
Dinesh V.: Thank you, Duncan. Good evening everybody once again. I'm on Slide 19 of the presentation and I'll walk you through the performance of our research analytics and solutions segment. The segment delivered a strong Q1 Financial Year '26, reflecting sustained demand for analytics -led advisory and technology -enabled risk solutions across geographies.

Starting with the quarter, income from operations grew by 34.9% year -on-year to INR735.6 crores. Growth was driven by continued traction across Crisil Coalition Greenwich, Crisil Integral IQ, and Crisil Intelligence, supported by deeper client engagements and expanded solution adoption.
Q1 '26 also reflects a full quarter of Crisil PriceMetrix income, acquired in Quarter 4 2025. Therefore, Quarter 1 2025 is not directly comparable to Quarter 1 2026.
At the profitability level, segment profit increased by 66.9% year -on-year, with margins expanding to 22.7% compared to 18.3% in the corresponding quarter last year. This reflects operating leverage from higher revenues, better business mix, and cost discipline.
From a business standpoint, Coalition Greenwich benefited from momentum in corporate and investment banking activity and increased engagement with regional banks. As mentioned earlier, accelerated revenues in Q1 FY26 contributed to higher revenues versus last year, and we expect this impact to normalize over the course of the year.
Crisil Integral IQ continued to see healthy demand for risk and credit lending solutions, while Crisil Intelligence maintained strong momentum in data analytics, consulting, and credit and risk offerings, supported by both domestic and international client s.
Looking at the 2025 full year performance for this segment, revenues grew 9.4% year -on-year to INR2,572.4 crores, with segment profit increasing by 12.6% and margins improving to 22%. Please note that the full year '25 figures incorporate the financials o f Crisil PriceMetrix only beginning November 7, 2025.
Overall, this segment continues to demonstrate resilience, scalability, and margin improvement, supported by strong domain expertise and an expanding portfolio of analytics and AI -enabled solutions. Thank you. With that, I will now hand over to our MD and CEO, Mr. Amish Meh

ta.
Amish Mehta: Thanks, Dinesh. Let me go to Slide 21 and share a little bit around our Gen -AI strategy and how we are leveraging Gen -AI as a strategic lever to drive value within the organization. Let me start by saying we are using AI as a key differentiator that ampli fies

our workforce and intellectual property, and it also is being leveraged to augment decision -making processes while maintaining our unwavering commitment to trust, reliability, and ethical responsibility.
In 2025, we launched several pioneering Gen -AI products. Our approach to harness AI's potential is articulated through four key levers. First lever is the domain -led AI, where we are embedding Gen -AI not as a standalone initiative but deeply integrated

with our rich domain knowledge. This approach enhances client value, drives efficiency and productivity.
Some of the Gen -AI native products such as GenEye Credit , which automates credit report creation, DeepMind for intelligent loan data extraction, Crisil i360, a unified intelligence platform offering a macro to micro view across economy, industries, companies and projects, and ICON, an AI -first end -to-end credit workflow management tool, are examples of how we are productizing AI where our domain advantage is strongest, delivering tangible value to our clients, at the same time leveraging the proprietary data that we have as an organization.
The second lever is horizontal AI capabilities, which are primarily foundational, reusable capabilities that accelerate delivery through reusability, scalability, and faster deployment. A key enabler here is Myron AI, our Gen -AI powered low -code solution that optimizes the setup and orchestration of AI -agentic workflows. This allows us to rapidly deploy LLM applications across businesses without reinventing the wheel each time.
The third lever is workforce AI expertise, because AI advantage ultimately comes from our people. So we are augmenting the domain specialization and expertise of our team members with AI skills to deliver superior client value.
We have been investing heavily in AI literacy through a layered training approach, including foundational training for baseline literacy for all our employees, role -based training to augment expertise, and expert pathways for key technical roles. As a resu lt, the majority of our workforce is using AI and AI -enabled workflows to deliver value to our clients.
The fourth and most important lever is responsible AI. This is where our clients operate in regulated environments, so AI must be secure, explainable, and governed. We focus on security, privacy, model risk controls, and human -in-the-loop protocols. We ha ve established guardrails around data security and model output validations, focusing on accuracy, hallucinations, fairness, and ethics. This is guided by our AI governance framework, which ensures that our AI solutions meet the highest standards of trust and compliance.
Our approach is receiving strong validation not only from our customers, but also external validations. We've had 26 independent AI -related recognitions, including 20 from Chartis Research. Additionally, we are collaborating very closely with S&P Global to learn, to drive adoption, to get best practices, and make sure that we stay ahead in the game. Thank you. With this, let me hand it over to Sanjay to cover some of the key risks for our businesses.

Sanjay Chakravarti: Thank you, Amish. I direct your attention to Slide number 27, and at this point of time, I'd like to speak of three key risks that we believe are front and center. Firstly, macroeconomic and geopolitical risks. The current West Asia geopolitical uncertain ty could lead to some delay in decisions and deferring of discretionary spend in our global businesses.
On the domestic front, uncertainty may delay capex, therefore slowing borrowings and new

rating revenues. There could also be weakened IPO pipeline due to market sentiment. Having said that, we've continued to pivot our portfolio to non -discretionary nature of spending and strengthen the focus on core across the portfolio.
Furthermore, uncertain environments typically increase demand for credible risk opinions and insights, and this should augur well for our ratings and intelligence businesses. At present, our direct exposure to revenues from West Asia remains comparatively low.

The second risk I'd like to touch upon is Gen -AI. The two key risks here would be the emergence of enhanced Gen -AI models and inadequate pace of Gen -AI adoption by organizations, which may constrain competitiveness and operational efficiency.
As Amish just pointed out a little while back, we have already adopted a proactive approach to build domain -led Gen -AI solutions, capability development, and upskilling to accelerate innovation and commercialization of emerging technologies, and deepen client engagement to stay close to client needs.
The third risk that I would point out is foreign exchange risk. Sharp INR appreciation against the USD will have a negative impact on margins. We have a robust forex hedging process to counter negative movements of foreign exchange rates, and we will continue to monitor forex very closely.
In closing, I'd like to say that we can take questions on these and the other risks on this slide in our Q&A section. Having said that, thank you for joining. I will now hand over the room back to Amish.
Amish Mehta: Thanks, Sanjay. Let me reiterate, we continued the good work of 2025 in the first quarter of 2026, focusing on, like we mentioned, client centricity, our analytical excellence, and making sure that we are leveraging domain -led AI to, to drive value for our clients and efficiency in our, in our businesses to stay competitive.
We are excited about all our businesses, and we are looking forward to making sure that we are able to drive growth while sustaining margins across our businesses and overall, a t a Crisil level. So, with that, I'll open up for any questions that you might have.
Moderator: Thank you, sir. We would now like to open the floor for questions. Our first question comes from the line of Balaji Subramanian from IIFL. Please go ahead.

Balaji Subramanian: Congrats for the great set of numbers and thanks for taking my question. I appreciate the color that you have shared in terms of your embedding Gen -AI in your products, but it would be very helpful if you could kind of, describe in greater detail the oppo rtunities and threats from AI in each of your businesses, right from say India Ratings, GAC, Crisil Integral IQ, Crisil Intelligence, and Coalition Greenwich.
Because what we understand is that, you know, each of these businesses will have its own nuances and some may be more vulnerable to AI compared to others, and the productivity gains also could be different across these. So, a detailed color on how AI will impact or benefit each of these businesses would be very helpful? Thank you.
Amish Mehta: Thanks, Balaji. I think like I mentioned, I think Gen -AI for us is a way to open more doors, to improve our competitiveness and drive better value for our clients and for ourselves. So, while Gen -AI increases the availability of generic content and basic synthesis, trust, proprietary data, and the defensible methodologies, regulatory credibility, and the human judgment, given the expertise, that we b ring across the work that we do.
I think they become even more critical as differentiators. Across businesses, we see opportunities outweighing risk, as long as Gen -AI is deployed responsibly and in our case, it is with human -in-the-loop governance.
In our IP -led businesses, Ratings, Coalition Greenwich, and also the work that we do in GAC, where we do work for S&P Global Ratings, we see

AI as a great tool for
enhancing both efficiency and effectiveness, because of being able to look at all the data, both proprietary data as well as data, coming from different sources.
The intelligence that we have over multiple cycles and being able to leverage that using the best of models and tools. It allows us to actually enhance our effectiveness and efficiency and be able to really, stay ahead in the game as well as serve our cli ents better.
When it comes to, research analytics and consulting business, here we have a good proportion again being able to leverage our proprietary data assets in addition to other financial information. We are using Gen -AI and automation in a way to enhance time -to-market, deeper, more granular insights, better user experience, and open new revenue streams.
We see this as a huge opportunity where we are able to really combine the power of our proprietary data, the ability of our experts and our domain experts to be able to leverage that data and the tools to come up with better insights, faster turnaround time, better user experience, and also open up avenues where we were earlier constrained because of, maybe capacity, capability and things like that. So, I think we are able to

really drive, larger business opportunity in our research analytics and consulting business.
And then in a similar way, when I look at our domain -led business on the global side, which is Integral IQ, again, here we use a twin -track strategy where we are building on growth areas where Gen -AI and deep domain expertise together drive superior customer value.
As you are aware, Balaji, the work that we do here for our global clients, both on the banking side as well as on the, buy -side, sell -side clients. A lot of the work happens across different areas of opportunity, whether it is on the risk side, on the regulatory side, on transformation side.
Being able to leverage the domain understanding, the expertise of our people, and being able to leverage the data which the clients might have, proprietary data, and the tools which the clients provide, I think that is something which we are able to demonstrate and go up the curve.
Domain -led AI, it, that's something that we believe creates a new growth vector for us because it allows us to open doors, particularly in the mid -tier and the Tier 2 clients.
There are client segments where we are able to take our ability to understand t he domain, leverage with technology, and be able to provide a much value -enhanced solution leveraging Gen -AI is something which could allow us to open more doors and get more business in some of the segments in Integral IQ.
So, use Gen -AI for driving effectiveness, efficiency, leverage to become cutting -edge both internally and externally and be able to get better value for our clients. I think that's the thought process, that's the way we go across all our businesses and functio ns. And be able to train our people to be able to leverage the best tools available in the market so that we are able to enhance the value and be competitive.
So, across each of our businesses, Balaji, there are opportunities out there which we are trying to leverage to grow our businesses. One is in our core businesses itself, enhance value to our clients, and then trying to go into new client segments because once you're able to do that in your core businesses, you are able to actually go to your newer client segments and be able to demonstrate the value that you can put out in front of clients and help them, get more business for ourselves and get better value for the clients.
So I think that's been our approach, that's been the way we are driving across all our businesses and the idea is to leverage the technology, leverage Gen -AI, leverage the models and the way they are coming out to enhance the work that we do to, to drive better value for our clients.

Balaji Subramanian: Thanks, Amish, a lot for the comprehensive answer. So is it fair to say that some of the revenue compression worries that are there for the IT services companies, you would be almost completely immune to that?
Amish Mehta: Our endeavor is to like I said leverage the AI tools, to build the capability with our people and ensure that we are delivering value to our clients to be able to minimize that risk.
And if we're able to do that well and then grow to newer segments, I would believe that our endeavor is to try and ensure we minimize and we grow and not get impacted by that.
Balaji Subramanian: Great. My second question would be on the discretionary spending outlook for global banks. While you did allude to the strength across businesses that we saw in the second half of CY25 and the first quarter of CY26, if I look at the commentary by Goldman Sachs in their earnings call last week, they were a little less upbeat compared to what they were three months back. Understandably because of the geopolitical headwinds and there are also worries on the private credit bubble. So, taking all that into consideration what is your outlook regarding the discretionary spending for global banks? That would be my final question?
Amish Mehta: We have not seen any decline in the level of engagement from clients in Q1 26 as a result of the current geopolitical situation. The ongoing volatile environment underscores the essentiality, I mean, in fact, in these times they want more insights.
So, if you look at our benchmarking business, I mean, you are seeing global investment banks, leveraging the current volatility and being able to declare very good numbers.
But at the same time, they would need insights, they would need to understand what's happening. Similarly in India with all the clients that we work with, they are looking for

better insights, sharper insights to understand the impact, what's happening.
Discretionary spending by large global investment banks, I think remains a key monitorable.
However, what we have been doing over the last couple of quarters is we are trying to diversify into other segments. As we look at our balance sheet, we have called that out. So, diversify into private markets, diversify into risk and credit solutions for the regional banks, which is the second -tier banks globally.
Also, I think that's allowing us to offset if there's any discretionary spend delay which might be happening at the large global banks. So we are trying to make sure that we are diversifying our customer portfolio and being able to take advantage with our insights being there when the client needs information to understand what's happening around and our businesses are very well positioned to drive that in the markets and the customers that we serve.
Balaji Subramanian: Thanks a lot, Amish and all the best for the rest of the year.

Amish Mehta: Thank you.
Moderator: Thank you. Your next question comes from the line of Arpit Kumar from Unify AMC. Please go ahead.
Arpit Kumar: Yes, thanks for the opportunity. So , my first question is with expansion of scope in the GAC engagement with S&P, could you just help us understand the unit economics of the business, particularly in terms of what is revenue margins?
Amish Mehta: This is a business where we partner with S&P Global Ratings. We've been doing this for more than 20 years, I think we are in our 23rd year. This is a business where we work at a transfer pricing fixed margin on the cost that we incur , and it is benchmarked with, whatever in the industry that we operate.
So here the idea is to go and add value to our clients, being able to drive larger growth opportunity not only within S&P Global Ratings, but to do work beyond S&P Global Ratings. And I think that's what we've been able to expand with some of the other divisions of S&P Global.

We are trying to create centres of expertise in areas that we can make a difference and add value to our client.
So I think that has been able to allow us to grow and drive growth in the GAC division. And that's what is reflected in the numbers that you are seeing. This is a part of our conscious strategy to actually drive growth across the different divisions of S&P Global and also doing work with S&P Global Ratings across the different p arts of the value chain.
Arpit Kumar: So sir could you give the fixed margin number? Is it possible?
Amish Mehta: We don't disclose that, that is benchmarked with transfer pricing.
Arpit Kumar: Okay, sir. My second question is if you could give more granularity on revenue mix within the RAS segment.
Amish Mehta: Here we don't disclose individual breakdown of the different businesses within the research analytics and solutions segment. The big parts of that business are the two global businesses, which is the Global Coalition Greenwich business and the Integral IQ business. They are two material parts of that division and of that segment and then followed by the intelligence business in India. That's how it is structured, but we don't disclose the individual numbers of the individual businesses.
Arpit Kumar: Okay, sir. Thank you.
Moderator: Thank you. Your next question comes from the line of Varun Bang from Bandhan Life Insurance. Please go ahead.

Varun Bang: Yes, thanks for the opportunity. Can you hear me?
Moderator: Yes, sir. Please proceed.
Varun Bang: Yes, so one of the key growth levers that we discussed is basically increasing wallet share across the segments and that is within core markets, adjacent offerings and newer client segments and geographies. So could you elaborate on specific opportunities that are targeted in each of these areas and how company's executing on them? And additionally, which new client segments and geographies are currently strategic priority for the company?
Amish Mehta: So let me address the second question first. I mean, like I mentioned we have grown, we've opened up the West Asia market, the Middle East market specifically. We are

also evaluating growth in the private markets, we're trying to drive growth in regionals, both in US and Europe and around the globe.
And these are regional banks which are beyond the top 20 corporate banks, the corporate investment banks. So I think there is an opportunity in different segments that we are trying to drive. We are focused across every market where there is growth in the financial services sector and in banks.
The wallet share, sorry, let me come back to that. So I think here as a strategy, so let me take the example of our global businesses. So we work with our top 20 global corporate investment banks and the stakeholders we might be working with are very different compared to what we might do with our Integral IQ business.
We will try and see how we leverage the opportunity of being able to cross -sell within the same bank, different services that we can offer. So if it means going and meeting new stakeholders, if it means presenting the work that we offer, even within Coalit ion Greenwich with the acquisition on wealth, we might be working with them on a particular area, how can we offer them the wealth offering and demonstrate value .
So I think cross -sell is to expand the share of wallet in existing clients across the portfolio and within the same business or the different businesses that we have or trying to increase the share of wallet by getting in new offerings that we might have as an organization. So this is more around leveraging all the offerings that we provide across different businesses and making sure that we are present across the value chain in each of the clients that we operate in and grow organically in each of these c lients.
And the same we do in India. Let's say, we might be pr

oviding data to a particular bank,
might not be doing work on some of our credit solutions and other work. How do we leverage that as an opportunity or vice versa?
So, I think every client that we have, ideally, we should be able to provide the full suite of offerings that we have and we should have them as our client for everything that we

do. So , I think the intent is to drive that through our, through our BD teams, through our business teams. And I think that that is something that we are very, very focused on.
Varun Bang: Got it. Got it. And on the GAC, there has been of course increased delegation and expansion into areas beyond ratings. Could you elaborate on what these new areas are and how is this partnership with S&P evolving in terms of scope of work, its implication on margin, and strategic importance over next couple of years? How do you see it evolving?
Amish Mehta: So I think as I answered earlier as well, on the global analytical centre side, we are focused on driving growth with S&P Global Ratings across their value chain, rightly put out there, increasing the delegation surveillance delegation, trying to go up the value curve in terms of looking at various a spects of data analytics, research it could be on the technology side, that's something that we started working on, creating COEs on program management, research. And being able to leverage technology and Gen -AI as a differentiator in adding value to our clients. So , I think we are able to demonstrate the power of our people, being able to leverage the capabilities of Gen -AI, the domain understanding, I think that IP that we keep calling, people being our IP, is the key differentiator helping us drive growth across di fferent businesses of S&P Global.
Varun Bang: And would you say the incremental business that we are getting, the margin profile is different versus what we were doing in the ratings for S&P?
Amish Mehta: No, see we are doing similar profile of work, so the margin profile remains to be similar.
Varun Bang: Understood, understood. And on the ratings side, the domestic ratings business, what is the outlook from medium -term, near to medium -term perspective for ratings business and if you can separately share it for BLR and capital market issuances, that would be helpful? And if at all there is a rate hike, would that materially change the dynamics for the bond market issuances where we've seen strong growth over last few years? What is your view?
Amish Mehta: So, I would first caveat saying that we don't make any forward -looking statements, so I think that is something that I would want you to keep in perspective. But I'm going to request my colleague Subodh to maybe share on the other questions that you've asked from a ratings perspective. Subodh, over to you.
Subodh Rai: At a larger level, if you look at the ratings business as you've rightly said, I mean, it is driven by borrowing in bond market and borrowing in bank loan market. If I look at last couple of quarters in bond market, there is softness because yields have hardened.
And at this point, it is a little difficult to say by when yield will soften because the geopolitical situation continues to evolve. So , we have to wait and watch and see how

the progress happens in bond market.

As far as bank loan market is concerned, if you look at the first quarter, particularly month of March, we have seen good numbers coming in. We are in the process of evaluating and understanding. From our side, we believe we've already put this number in public domain that credit growth for the financial year 2027 is going to be around 13%, which is more or less the same what we saw in 2026.
But we have to see how it goes. I mean, you know, if March is any indicator, probably there can be some upside in these numbers, but we'll have to evaluate and come back to you on that.

So , these are the two big drivers as far as rating industry is concerned, and depending how it goes, that can affect our performance.
Varun Bang: Got it. And maybe directionally if you can share your thoughts, the structural growth of bond market issuances versus bank -led credit, how do you see it evolving?
Subodh Rai: So, if I look at this juncture, what we're seeing is some level of substitution of bonds by bank loans because banks are flushed with liquidity. And if you look at interest rate differential that is prevailing in the bond market versus bank loan, relatively f avouring the bank loan at this point of time. But, you know, we have seen this situation in the past as well, and actually we have also seen the situations reversal where bond market is so from time -to-time, bond market can become lucrative or from time to time, bank loan market also becomes lucrative.
I do not think structurally there will be a major change as far as medium term is concerned, but this is more like a view at a particular point of time when there's excess liquidity with the bank or there are times, like I said market favours the bond, bon d market. You also asked one question which I kind of missed answering last time about the interest rate movement if the rate goes up, what will happen to some of this outlook. If rate goes up I mean, it's a highly hypothetical point at this point of time, there's no specific indication from RBI that rate will go up anytime soon. But rate changes essentially what we have seen in the past is what I can tell you is that it does not favour the bond market because yields further hardens. So we have to see, but as of now, we do not have any indication from the regulator that whether interest rate will go up in immediate term.
Varun Bang: Correct, correct. And you did highlight about Gen -AI and the platforms like i360, but if you could just share specific use cases where Gen -AI is already driving measurable impact either in client acquisition, pricing power, or cost efficiency, and how do you see it translating into sustainable advantage rather than just -- if you can share some thoughts on this?
Amish Mehta: Like I mentioned to you, right, we shared that there are multiple initiatives that we work, I mean, in every area, let me put it differently. In every area of the organization, we are trying to see how we can leverage Gen -AI. If you were to think about clie nt acquisition

across different businesses, how can we leverage the intelligence that we can generate through Gen -AI, how can we make sure that we are able to have information available real time?
So, I think take the power of Gen -AI in every areas of work that we are working on and see how we can make things better for ourselves while we deliver value for our clients. I think that's the way we approach it. It is not across individual areas, but across the organization, how do you leverage the power of technology, power of Gen -AI in becoming better, in becoming faster, in differentiating ourselves in the market for providing better value to our clients. I think that is the way we want to embed Gen -AI thinking across the organization.
Moderator: Our next question comes from the Pritesh Chheda from Lucky.
Pritesh Chheda: Comments, some comments on the RAS business side, some total what kind of growth will you see? Because last year was about a 9% to 10% growth year before that was flagged. So, any directional comments may not be giving out a number, but some directional c omments on growth in this piece?
Amish Mehta: So, I think the overarching comment I would make is that we are wanting to drive consistent growth across all our businesses. And we believe there is opportunity to grow across all our businesses . Whether it is the rating segment, or it is the research analytic solution segment. Whether it is the intelligence business in India, or the global C

oalition
Greenwich business, or the global Integral IQ business.
Each business have got their own growth drivers, own value drivers, for different market environment to operate it. So, like we mentioned that in the first quarter this year, you've seen the global corporate investment banks taking advantage of the volatil ity and doing well. Clearly, that would mean that they are looking for better insights on what's happening. And that has helped us take impetus in our global Coalition Greenwich business.
Similarly, in our different businesses, we are trying to drive value with new client offerings, new client segments, adjacent spaces. In Coalition Greenwich, we've gone into wealth. In Integral IQ, we are trying to get into private markets and expand. We a re already there looking at new client segments like regional banks. So, I think every business has got a strategy to try and drive growth, take advantage of the opportunity which is provided.
And be able to grow consistent -- on a sustainable basis. I think that's the way we approach each of our businesses and we believe there is an opportunity to grow across all our businesses in the markets and the customer segments that we operate in.
Pritesh Chheda: Any incremental pricing pressure, pricing comments on these pieces of business?

Amish Mehta: So, each of our business operates in a competitive environment. So, clearly you will see the pulls and the pushes which are normal to a competitive environment. I think it's our ability to demonstrate value to our clients while being able to charge the ri ght pricing, which allows us to make the optimum margin on every business that we operate.
Pritesh Chheda: My last question is, any colour on, or I don't know if you guys look at the -- any colour on the order book growth rate or some matrix whereby we can judge on, what kind of growth is possible in RAS business?
Amish Mehta: Sorry, we don't comment on order books of individual businesses. That is something that we do not share.
Pritesh Chheda: Okay. Okay. But directionally, they are growing and, for us to comprehend the visibility in business is improving. Any comments from that side?
Amish Mehta: Like I mentioned, I think, we are very much focused on driving growth across all our businesses. All our businesses are positioned well with all our customer segments, the offerings that we have. And you know, we continue to focus to make sure as an organ ization, we are driving that growth agenda. So, that's where we are.
Pritesh Chheda: Okay. Thank you very much.
Moderator: Thank you. Your next question comes from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.
Abhijeet Sakhare: Hi. Thank you. Good evening, everyone. So, my first question is on the ratings business. Now, consistently, the business, the revenues are growing upwards of, you know, 16 - 17%. So, I'd really appreciate if you could kind of spend some time to explain what' s driving this growth. Because when we look at the broader parameters in terms of resales volumes or even the large corporate credit growth, it doesn't seem to be kind of suggesting a similar level of growth. So, is it the mix or the pricing or if you're k ind of gaining market share, that would be really helpful? And I'll take my second question after that.
Subodh Rai: Okay. So, I'm assuming you're referring to the performance in Q1 of this year.
Abhijeet Sakhare: Yes, sir.
Subodh Rai: So, if you look at the revenue growth, it is largely driven by a pretty robust surveillance revenue, and also to an extent by new rating revenues. When it comes to surveillance revenue, in general, it is driven by the new rating revenues performance in pr ior year. So, for example, in, what you're going to see in ‘26 will be largely driven by the new revenues we did in 2025 and partly what we did in ‘24. In those years, we had very strong momentum on new rev

enue. So, that is now reflecting in fa irly strong growth in surveillance revenue. So, that is one of the drivers.

Second, in the market we continue to see investor preference for best -in-class rating, and this will benefit us as far as new revenue is concerned. And there's a trend that we have seen quarter after quarter that continues. Having said that, I just want to highlight one thing that typically performance in one quarter may not be indicative of performance of the entire year. So, when it comes to rating, I mean, generally, I would recommend

that you look at the performance of entire year, that will be helpful.
Amish Mehta: Abhijeet, I would say, to add to what Subodh is saying, that is true for all our businesses, and I would request and recommend to everybody to, look at annual performance so that you do not get swayed by let's say, temporary seasonal effects or some fluctuation on account of timing. Looking at it at an annual level helps you to get a much better perspective on how growth is happening for individual parts of the segments of the business.
Abhijeet Sakhare: Got it, sir. Just one follow -up there. Like, even, like, going a few quarters in the past, looks like Crisil and probably some of their peers as well are clocking growth rates, which are consistently higher than what the broader indicators seem to suggest . So, one would kind of attribute this to, like, probably in the past years, maybe mix between bank and bond, but at least for the next, for the last couple of quarters, it seems to suggest that even while the shift towards bank loan ratings is happening, it has not really dampened the growth in terms of overall revenues.
So, is it that we are seeing new number of issuers, which is kind of helping in terms of better pricing or mix across, let's say, going beyond financial services issuers? Along any of those lines, is there an explanation to that?
Subodh Rai: So, I think, as far as other rating agencies are concerned, I may not be in a position to comment on their performance, what is driving their revenues. For us, like I said early on, that we are benefiting from IRF growth. If you look at last few years, IR F growth has been very, very strong, particularly post -COVID.
We acquired a lot of new clients at good prices. That is really helping us, as far as revenues are concerned for Crisil ratings. Pricing is a very sensitive matter. Of course, deal by deal, we will not have a visibility of what's happening on pricing, but as far as we are concerned, we do work on pricing in a very disciplined manner. So, that's all I want to say on this question.
Abhijeet Sakhare: Got it. This is helpful. So, moving on to the RAS business and specifically Integral IQ. Now, generally, I think there used to be a common comment around discretionary spend being a bit under pressure from most of the large clients. We don't see that comm ent being made this time. So, is there any read into that?

And secondly, like what we see for the mainstream IT companies in terms of Gen -AI leading to some growth deflation. Are you seeing that in the financial services space yet? And third is, any comment on the competition from the GCC?
Amish Mehta: So, let me try and address that. On the discretionary spend side, what we have seen, and I think I mentioned this earlier that we continue to see engagement from all our clients across all our businesses, including global businesses. And I think the only impact, if at all, I would say is maybe in terms of decision making. In some places, you might see that there could be more time that one might take while taking decisions, but we have not seen adverse impact of projects being cancelled.
So, I think that is something that is not being seen as we speak right now. And as long as you're able to demonstrate value, your conversations are healthy. You know, our diversification across

segments, like we mentioned, helps to offset some of the discussions around discretionary spends. And that is why you don't see that in our commentary. So, that is something that, to keep in perspective.
Sorry, I missed the other two questions.
Abhijeet Sakhare: So, the second question was on the risks of growth, deflation from Gen -AI adoption, and any context around how the financial services industry is responding to that.
Dinesh V.: Yes, good evening, Abhijeet. So, I think we believe the impact of AI will vary by business and client segments. I think we regularly review where the impact could be, what, and as you know, this is a very fast evolving space with almost some announcement every week. We stay closely aligned to what our client requirements are. And as adoption accelerates, we also try to evolve our offerings accordingly.
I think Amish has already spoken about the fact that we have initiatives across all our functions, as well as all our businesses, whether it is functions like client business development and sales, or whether it is technology, where we have launched Gen -AI enabled products and offerings, or in business with which are pure services where we have used our Gen -AI to really enhance our efficiency and operational strength.
So, that's really what we see is more of opportunity than risk. And that's how we are really addressing the situation.
Amish Mehta: Also, I think specific to financial services clients, I think, they are seeking help. And I

think companies like Crisil are very well positioned because we understand the regulatory landscape. And I think everybody is looking at how do we do things in a responsible way? How do we leverage the domain expertise along with technology? So, being able to drive that is allowing us to actually work with our clients in a very collaborative way. And like I mentioned earlier to try and see if we can deliver better

value to our clients in newer segments, which will allow us to open new opportunities, leveraging Gen -AI.

So we are seeing Gen-AI being used, as Dinesh mentioned, largely as an opportunity. Yes, we need to ensure that all our people are trained, they are able to leverage the skills, they understand the new models, the value that the models deliver. And apply the enterprise risk and domain lens. Because, as you know, most of the clients we work with are in the regulated space within the financial services domain. So, I think they are very sensitive in terms of how they want to leverage Gen -AI. And I think being able to understand that and partner with those clients, is important.

Abhijeet Sakhare: Sir, there was one more part around the GCC competition.

Amish Mehta: So, GCC is something that has always been an opportunity. Maybe I'll ask Suprabha, who heads our Integral IQ Business to maybe share a perspective. Suprabha?

Suprabha AD: Thank you, Amish. For us GCC has always been an opportunity as well because GCCs do need support whenever they set up their COE models or where there are regulatory remediations that they have to scale up for at quick notice. GCCs have offered opportuniti es and we've partnered very effectively with them and that's how we see them in the past 2 years in terms of our overall strategy.

Abhijeet Sakhare: Got it. So sorry, just summing up on the international business, looks like there's no imminent risk to growth as well as margins. Would that be a fair assessment? Obviously the macro risk will remain, but specifically with respect to Gen -AI or competitio n it's largely status quo, right?

Amish Mehta: Abhijeet, like I mentioned, we have to keep running at a much faster pace, to be at the same level. All of us have to make sure that we are going up the curve in terms of learning, leveraging the tools, leveraging the power of Gen-AI, technology, and being able to disrupt ourselves so that we can disrupt our clients. I think you kn

ow, I would say agility, learning agility is going to be important in in making that happen.

But Yes, I mean we are very, very focused on ensuring that we minimize any impact and we actually take advantage of the opportunity which is presented by being able to learn and make sure that we are leveraging our domain, our data, our talent, and working with our clients to partner with them to help them in that journey. I think that's what we are focused on so that we can ensure that we are not having any impact on our growth , or on our margins.

Abhijeet Sakhare: Got it, sir. Just one final data question. So I noticed in the annual report the headcount in terms of both on -role as well as contract that has gone up in the previous year. Any comment here and areas where you're adding people?

Dinesh V.: We continue to add people across our businesses as we kind of invest in both growth across technology, Gen -AI, as well as around client development and other areas where we believe those investments are necessary to continue to grow the franchise. So it's q uite evenly spread, it is not specific to any particular area or business or segment.

Abhijeet Sakhare: All right. Got it. Thank you, Dinesh. Thank you everyone.

Amish Mehta: Thanks.

Moderator: Thank you. Our next question comes from the line of Saurabh Dole from Fyers Assets . Please go ahead.

Saurabh Dole: Yes, sir. Good evening. I have two questions. The first one is on the ratings front. If you look at the last 5 years, what is the rough price increase you might have taken on a CAGR basis on a 5 -year block period? So that is question one.

And the second question is that with respect to growing the business inorganically, if you were to evaluate the white spaces that exist today, what are those and by when do you think you plan to build those?

Subodh Rai: First question on pricing side, pricing is fairly you know, I'll say a complex subject

depends on time to time how the situation in the market, etcetera. That decides, I mean
there's no particular trend that I can share with you for the last 5 years. Like I said you
know, we work on pricing in a very disciplined manner. That's all I can share with you.
Amish Mehta: Yes, I mean clearly I intend to make sure that we are covering inflation, the value of our
work that we do, and be able to continuously sustain margins in the right fashion while
delivering value to our clients. I think the second question that you're talking about on
the inorganic side, I think we continue to evaluate inorganic across the spaces that we
operate and the adjacent spaces, and I spoke about some of them as already
articulated in our balance sheet.
So, wherever we can accelerate our strategy, wherever we can get better capabilities
to help us accelerate our strategy, can maybe help us get newer client segments on our
current businesses that we have. I think these are the areas of opportunity that we keep
looking at. You know, one example I can give you was of course PriceMetrix that we
acquired last year, that allowed us to expand wealth.
Wealth is a space that we are very keenly following in our global market as well as in
India . That acquisition basically allowed us to accelerate momentum in that particular
space that we are keenly interested in. The second one as you know, we have taken a
small stake in one of the SME platform companies in India. So I think we continue to
evaluate and see opportunities from that light.

Like I mentioned core spaces we operate in, adjacent spaces that might be there, client
segments which allow us to accelerate the strategy, build new capabilities to accelerate
the strategy. I think these are the lenses that we look at, of course it has to make
financial sense and it has to have a justification both from strategic and financial
perspective for us to expand.
Saurabh Dole: Got it. And just one follo

w -up. When you talk about the three platforms under RAS, what
is the level of cross -sell that you have and compared to how much how far you can go
on the cross -sell, where are we on that journey?
Amish Mehta: There is enough and more opportunity out there. And like I mentioned, if you just look
at any of the banks, the top banks or top customers, work that we do within the business.
So if I was to just look at Coalition Greenwich as an opportunity, what we do on the
corporate investment banking side, what we do on the transaction banking side, what
we do on the digital banking side, what we can do with the wealth offering. In each of
these offerings there is an opportunity for us to sell within that client.
And then if I was to think about the work that we do on the Integral IQ side, can we help
them on their risk and regulatory landscape, can we support them in any of the
requirements on the risk side, whether it's credit risk, market risk, ops risk, can we help
them on the regulatory side, if they need to help on model validation, stress testing, or
any of the regulatory requirements that they might have. Can we help them on the
transformation side of digital transformation journey.
So I think there are areas of opportunity across all our businesses, and ideally I should
be able to do each of these services for each of those banks. And I think our endeavor
is to keep pushing that agenda, and I'm sure each business looks at it as an opportunity
to grow. So I would say there is enough space for us to push this. The other question
is in terms of where we are on that journey, I think again I would s ay there's enough
and more.
The good part is that collaboration is working well. We have teams going and meeting
clients jointly in our global markets, we have got clients who are able to see our offerings
end to end and value the work that is happening across the organization. I think it's
about continuously focusing and pushing that agenda, doing more meetings, more
impactful meetings, opening more doors with stakeholders and continue to drive larger
growth.
Saurabh Dole: Got it, got it. Thank you so much, sir.
Moderator: Thank you. Your next question comes from the line of Bhavin Vithlani from SBI Mutual
Fund. Please go ahead.

Bhavin Vithlani: Thanks. High -level question. We've seen a few acquisitions by Crisil India and some of
them have been global acquisitions. So on a allocation basis, when these are global

acquisitions, what is the thought process that goes in wherein the acquisition will be
done by Crisil India or will it be done by the parent?
Amish Mehta: So I think of areas where Crisil operates in, those businesses where Crisil operates in, if there's an acquisition that makes sense for Crisil, we will evaluate that and that is the acquisition that we will go for. I think we are very clear, it should hel p enhance our strategy, accelerate our strategy in the businesses that we offer and I think that's how we look at every acquisition opportunity which comes.
Bhavin Vithlani: So is there a overarching principle when the acquisition will be by the S&P and when it'll be because there are obviously areas which are overlapping?
Amish Mehta: There is hardly any area of overlap, if you look at our businesses that we operate in. I think there is enough and more understanding of the areas that we operate in, the businesses that we operate in. And if those acquisition opportunities sit within those areas, I think then in that case the evaluation happens within the businesses where it is a part of. So I see that there is an area that naturally we start evaluating businesses and opportunities which are complementary to the businesses that we work with .
Bhavin Vithlani: Okay, thanks. The second question is on the Global Analytics Center. Could you give us a little longer roadmap and in terms of the opportunity that is for Crisil Ind

ia, because
we've seen this piece grow pretty strongly over the last couple years, and how should one think about the runway over a three to five -year basis?
Amish Mehta: So I can talk about the opportunity landscape . And I think if you remember, a few years back, we had actually asked all our shareholders to approve a much larger limit, with the hope that we are likely to open more doors. And I think that's something that you are seeing play out. And I think clearly l ike I articulated earlier, we are looking at expanding across the different divisions of S&P in the areas that we can demonstrate value.
So, whether it is like I mentioned, right, from S&P Global Ratings perspective we work across the value chain. We are expanding into supporting them on the technology side. We are looking at doing the same across different businesses of S&P Global. And as we are able to demonstrate value to each of these stakeholders, how do we make sure that we are able to partner and grow our business with the different businesses that exist within S&P Global.
So I would say opportunity is about being able to demonstrate value for the work that we do and being able to partner with them to be able to take that to the next level. And these are areas of opportunity in centers of expertise across the research work, the analytical work that we do, the technology support.

I think areas that we have been able to demonstrate value to S&P Global Ratings and some of the other stakeholders and I think keep working through the journey. Transformation could be another lever now as people are looking at transformation. So, I think there are many areas of opportunity and how do we engage and how do we demonstrate value to our stakeholders and continue to drive growth across the Global Analytical Center.
Bhavin Vithlani: Sure. So, could we say that the growth that we've seen over the last couple of years could possibly sustain? I mean the question is on the rate of the growth directionally?
Amish Mehta: I'm sorry, Bhavin, like I mentioned, no we don't comment on any forward -looking statement.
Bhavin Vithlani: Sure. Those were my questions. Thank you.
Moderator: Our next question comes from the line of Anush Kumar from Spark PMS. Please go ahead.
Anush Kumar: Thank you so much for the opportunity and congratulations on a great set of numbers for the quarter and on the calendar year as well. So, my question is on like, if you could quantify what proportion of your analytical workflows are already AI -assisted today, and where do you see the biggest productivity gains?
Amish Mehta: Like I mentioned earlier, we are trying to use AI across our value chain across all the workflows that we have. All our employees are being trained to make sure that they are able to use different LLMs, the value of the LLMs, and use that to drive value for every work that is happening.
So, this is something that is across the organization, not in any one area or the other. Where we work in client environments, we make sure that we are leveraging the value of that for our clients. Where we are doing work in our own environment, it could be very different across different parts of the businesses, and there is no single measure to give you that number.

Anush Kumar: Okay, thank you. So, the second question is a book -keeping question on what is the revenue for PriceMetrix for the quarter and revenue PAT and EBITDA for the quarter?
Amish Mehta: Sorry, we don't disclose sub -business levels numbers. So, what you have is only segment -level numbers, which is the RAS segment and the Ratings segment. We don't disclose.
Anush Kumar: Okay, sir. Thank you so much.

Moderator: Thank you. A next follow -up question comes from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.
Abhijeet Sakhare: Hey, thanks for the follow -up. So,

I just wanted to get a little bit more details on the comment on accelerated renewal in the benchmarking business and how should we kind of now think about the following quarters? Does it like smooth out some of the seasonality or like what are you kind o f trying to indicate with that at this time?
Dinesh V.: Yes, that's right, Abhijeet. I think this year we've been able to close contracts which typically we would close in subsequent quarters in prior years in the first quarter itself. So, you're right, this will very much have an impact of smoothing in subsequent quarters and some of the seasonality that you've been used to seeing in the RAS segment should hopefully normalize to some extent .
Abhijeet Sakhare: Okay, got it. Thank you.
Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. Amish Mehta to conclude the session.
Amish Mehta: Thank you everybody, I would like to just say that the focus of the organization is to continue to drive growth and sustain margins, I think that's something across all our businesses is what drives us, while leveraging technology, Gen -AI to be a key differentiator for all our businesses. That is something that we are, working on and we will continue to drive that agenda. Thank you very much.
Moderator: Thank you, sir. That concludes the call for today. Thank you everyone for joining us and you may now disconnect. Thank you.